



LDR FLOWCHART NOTES

The Indian Partnership Act, 1932

CA Foundation · Paper 2 — Business Laws · Chapter 4

40 flowcharts, decision charts and comparison charts for Last Day Revision

Unit 1: General Nature of Partnership · Unit 2: Relations of Partners · Unit 3: Registration and Dissolution

Every chart carries section references, "LDR Pointers" and, where relevant, an Examiner's Radar linked to the May 2026 paper.

SEE IT · ASK IT · APPLY IT · WRITE IT

How to Use These LDR Charts

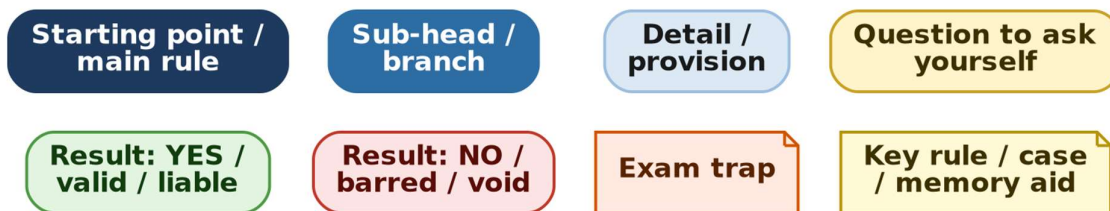
These notes are built for the last 48 hours before the paper. Each page carries one idea: a flowchart to see the law, followed by short pointers to write it.

Read the chart top to bottom (or left to right) exactly as you would reason in the exam hall: the yellow boxes are the questions you should ask about the facts, and the green and red boxes are the conclusions.

For case studies, turn the chart into the three-step answer ICAI rewards — Provision (quote the section), Application (walk the facts through the chart), Conclusion (the green or red box).

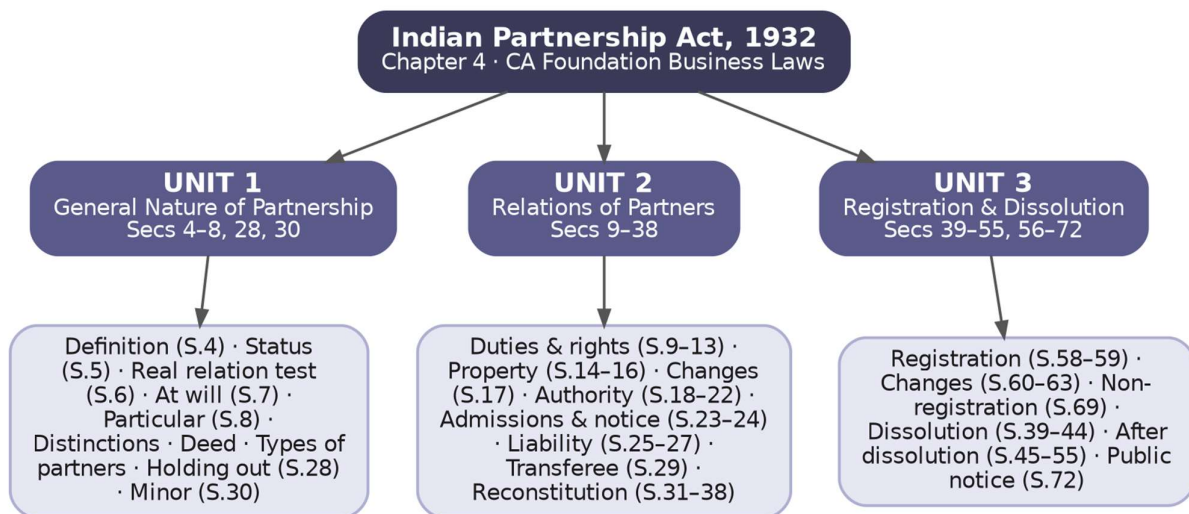
Charts marked with an Examiner's Radar were tested in May 2026 or are recurring favourites. Revise them twice.

Colour key used in every chart



Unit colours: Unit 1 — navy · Unit 2 — teal · Unit 3 — maroon.

Chart 0 · The Whole Act on One Page



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UNIT 1

General Nature of Partnership

Sections 4 to 8, 28 and 30 — definition, essential elements, real-relation test, distinctions, kinds of partnership, deed, types of partners, holding out, and the minor admitted to the benefits of partnership.

Chart U1-1 Definition and the Five Essential Elements

Chart U1-2 Determining the Existence of Partnership

Chart U1-3 Partnership vs. Joint Stock Company

Chart U1-4 Partnership vs. Hindu Undivided Family

Chart U1-5 Partnership vs. Co-ownership and Club

Chart U1-6 Kinds of Partnership

Chart U1-7 The Partnership Deed

Chart U1-8 Types of Partners

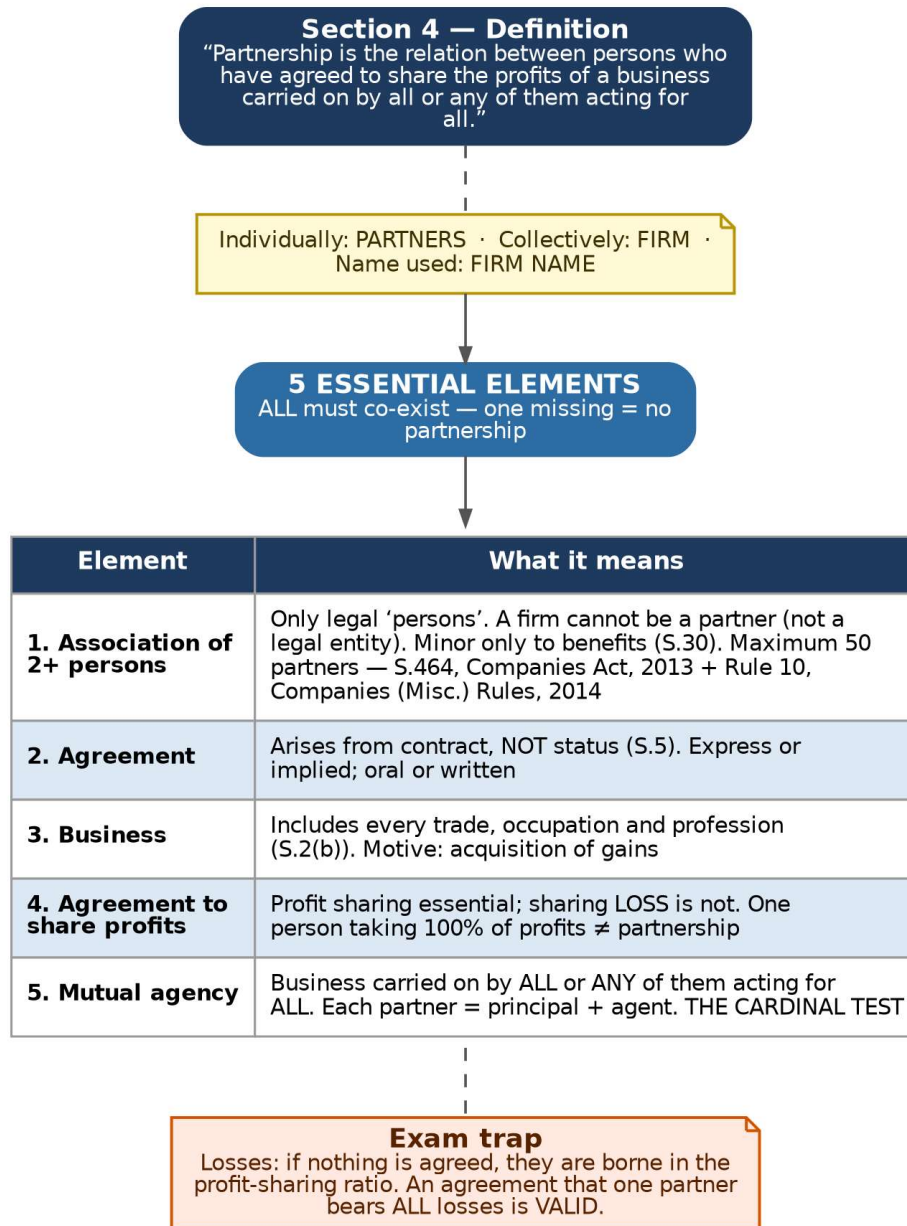
Chart U1-9 Partner by Holding Out

Chart U1-10 Minor Admitted to the Benefits — Position During Minority

Chart U1-11 Minor on Attaining Majority — The Six-Month Election

Chart U1-1 · Definition and the Five Essential Elements

Section 4 read with Sections 2(b) and 5



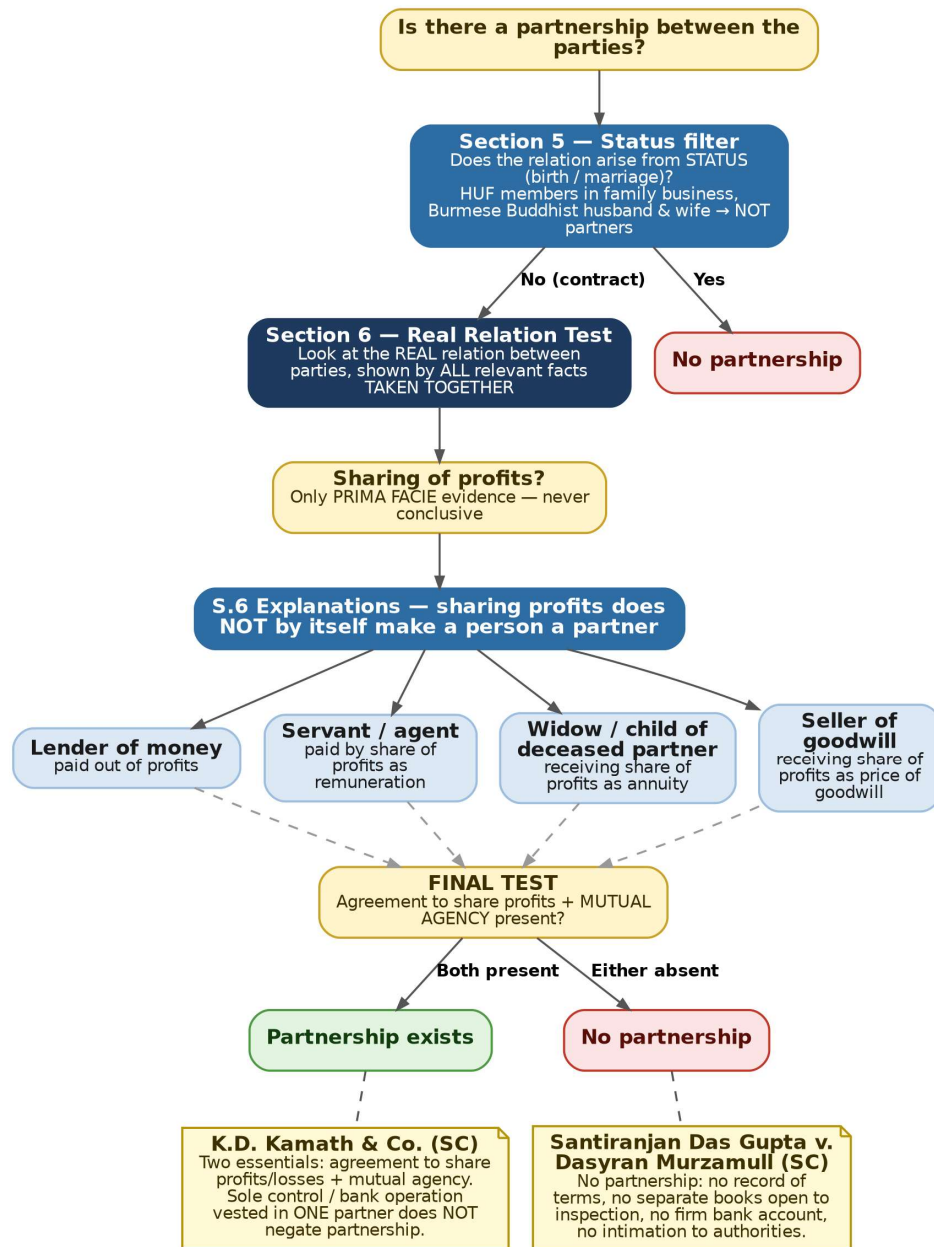
Examiner's Radar: Five-element questions are staple 3-4 mark descriptive questions; case studies test the missing element.

LDR Pointers

- ❑ Memory key — A-A-B-P-M: Association, Agreement, Business, Profit-sharing, Mutual agency.
- ❑ Mutual agency is the TRUE TEST of partnership; profit sharing alone is not conclusive.
- ❑ A firm is not a legal person distinct from its partners, so a firm as such cannot become a partner in another firm (its partners individually can).
- ❑ Business must exist or be intended; co-owners merely holding property jointly are not partners.

Chart U1-2 · Determining the Existence of Partnership

Sections 5 and 6



Examiner's Radar: Case studies on lender/employee/widow sharing profits are a favourite ICAI pattern.

LDR Pointers

- Partnership arises from contract, not from status (S.5) — HUF is the classic example.
- Real relation test (S.6): no single factor decides — look at all facts together.
- Profit sharing is only prima facie evidence; the four S.6 explanations are frequently asked as MCQs and short notes.
- In case studies, always end by checking MUTUAL AGENCY — that is what converts profit-sharers into partners.

Chart U1-3 · Partnership vs. Joint Stock Company

Distinction chart

Basis	Partnership Firm	Company
Legal status	Not a separate entity from partners	Separate legal entity (Salomon v. Salomon)
Agency	Every partner is agent of firm & others	Member is not agent; cannot bind company
Profits	Must be distributed as per deed	Distributed only when dividend declared
Liability	Unlimited — personal assets attachable	Limited to unpaid share / guarantee
Property	Joint estate of partners	Belongs to company, not members
Transfer of interest	Only with consent of ALL partners	Shares freely transferable (subject to AoA)
Management	All partners entitled	Vested in elected Board of Directors
Succession	Death / retirement / insolvency may dissolve	Perpetual succession
Number	Maximum 50	Private: 200; Public: no limit

LDR Pointers

- Write distinctions in two columns with a basis heading — each correct point earns $\frac{1}{2}$ to 1 mark.
- Separate legal entity, perpetual succession and limited liability are the three 'headline' differences; lead with them.

Chart U1-4 · Partnership vs. Hindu Undivided Family

Distinction chart

Basis	Partnership	HUF
Creation	Agreement (contract)	Status — by birth in the family
Governing law	Indian Partnership Act, 1932	Hindu law
Management	All partners equally	Karta alone
Liability	Unlimited for every partner	Karta unlimited; coparceners only to share
Minor	Only admitted to benefits	Member from birth
Interest	Fixed by agreement	Fluctuating — rises with deaths, falls with births
Accounts	Partner can sue for accounts with dissolution	Coparcener cannot ask for past accounts on partition
Death	May dissolve the firm	HUF continues

LDR Pointers

- Opening line for every HUF answer: 'Partnership arises from contract; HUF arises from status' (S.5).
- The Karta's unlimited liability versus the coparceners' limited liability is the most-tested contrast.

Chart U1-5 · Partnership vs. Co-ownership and Club

Distinction charts

Basis	Partnership	Co-ownership
Origin	Always by agreement	By agreement OR operation of law (inheritance)
Mutual agency	Exists	Does not exist
Profit / loss	Business with profit sharing essential	May exist without any business or profit
Transfer	Needs consent of all partners	Co-owner transfers freely
Partition	Partner cannot demand partition of property; can seek dissolution	Co-owner can demand partition

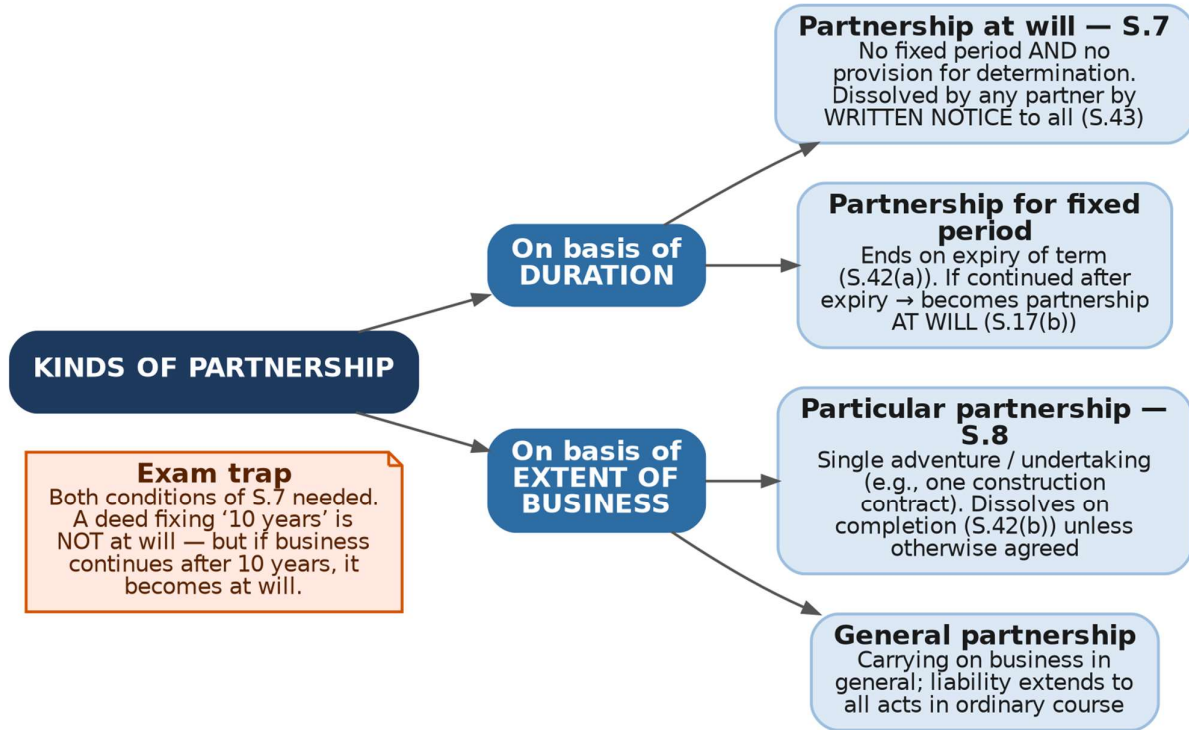
Basis	Partnership	Club / Association
Object	Business for profit	Social, charitable, religious, recreational
Agency	Partners are agents of each other	Members are not agents of each other
Property	Partners have interest in firm property	Members have no personal interest in club property
Change	Change of partner may dissolve	Change of member has no effect

LDR Pointers

- ❑ Co-ownership can arise by operation of law; partnership never can.
- ❑ Absence of mutual agency is the single best point to distinguish both co-ownership and clubs from partnership.

Chart U1-6 · Kinds of Partnership

Sections 7, 8, 17(b), 42, 43

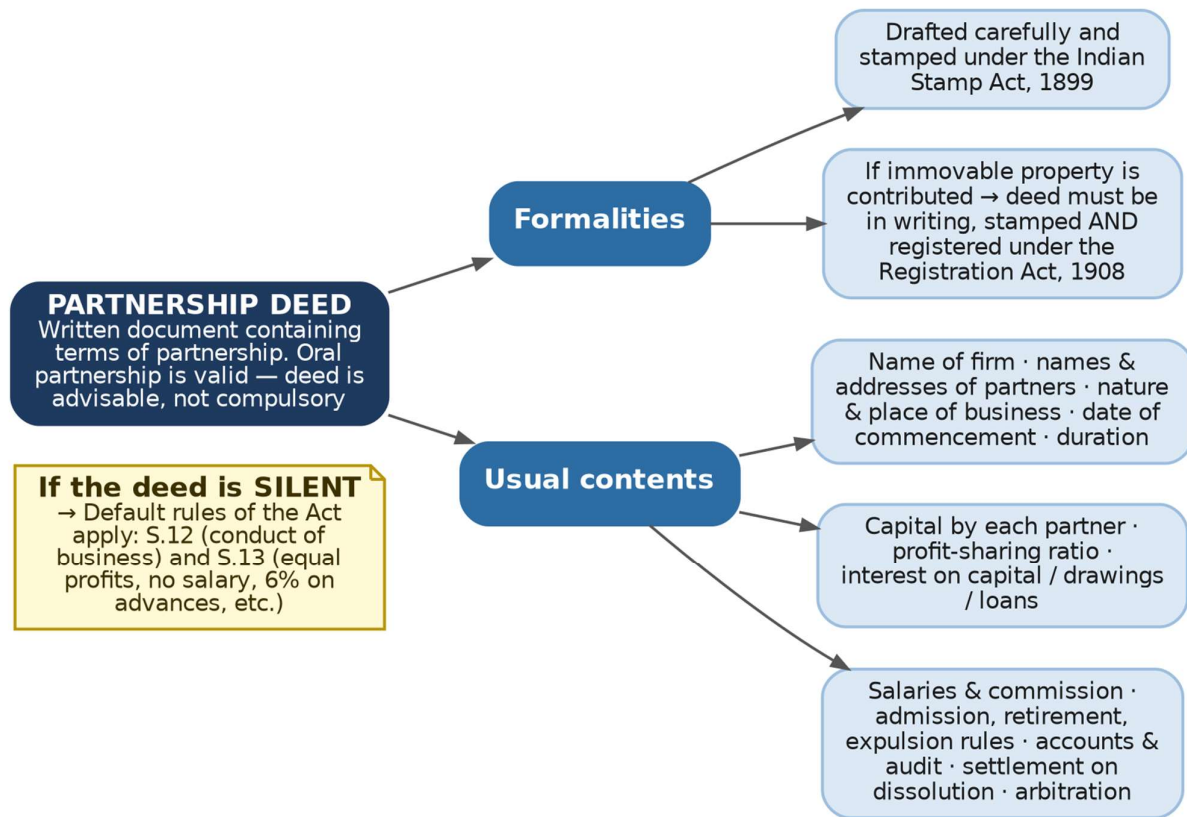


LDR Pointers

- Partnership at will: two negative conditions — no fixed period AND no mode of determination provided.
- Fixed-term partnership continued after expiry → at will, with the same rights and duties (S.17(b)).
- Particular partnership ends on completion of the venture unless the partners agree otherwise; if new ventures are taken up, the old terms apply to them (S.17(c)).

Chart U1-7 · The Partnership Deed

Formalities and contents



LDR Pointers

- The Act does not require a written deed; S.4 only requires an 'agreement', which may be oral or implied.
- Link point for case studies: when the deed is silent, go straight to S.13 defaults (Chart U2-3).

Chart U1-8 · Types of Partners

Classification by role, disclosure and liability

Type	Who?	Liability to third parties	Public notice on leaving?
Active / Actual / Ostensible	Takes active part in business	Liable to third parties	YES — else liable for later acts
Sleeping / Dormant	Not active; shares profits & losses	Liable (unlimited)	NO — if not known to third party
Nominal	Lends only name; no capital, no profit	Liable to third parties (holding out)	YES (to escape holding-out liability)
Partner in profits only	Shares profits; not liable for losses inter se	Liable to third parties	As applicable
Sub-partner	Outsider sharing a partner's own share	NOT liable; no rights against firm	Not applicable
Incoming (S.31)	Admitted with consent of all	Not liable for acts before admission	Not required
Outgoing / Retiring (S.32)	Leaves; others continue	Liable till public notice	YES
By holding out (S.28)	Represents / permits representation	Liable to person who gave credit on faith	—

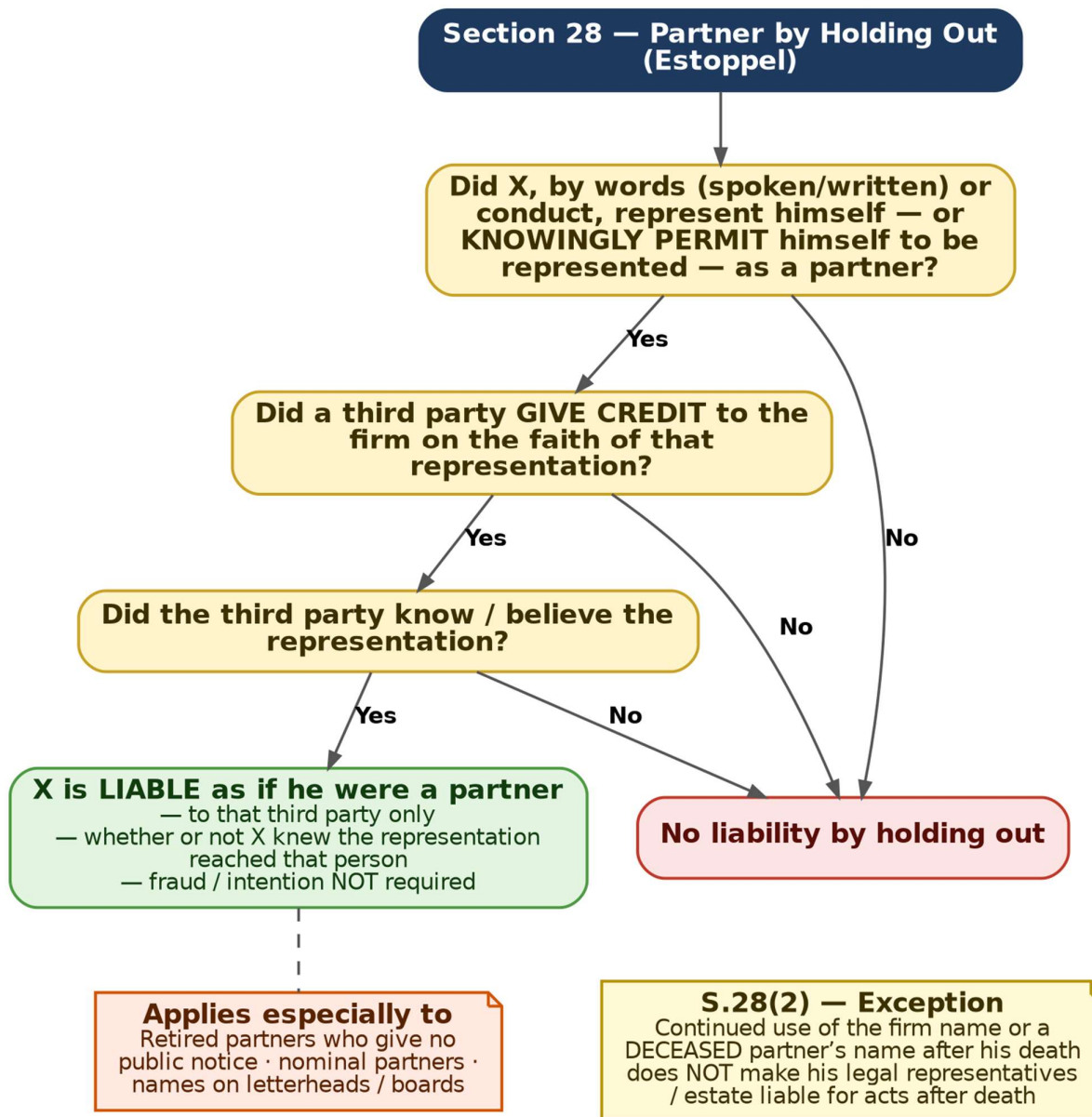
Examiner's Radar: Short-note questions on nominal vs sleeping partner are common; so are MCQs on the sub-partner.

LDR Pointers

- Every type except the sub-partner is liable to third parties — the sub-partner has no privity with the firm.
- Sleeping partner is exempt from giving public notice on retirement because third parties did not know of him (proviso to S.32(3); S.45(1)).
- An incoming partner is liable only for acts after admission (S.31(2)) unless he agrees otherwise (novation).

Chart U1-9 · Partner by Holding Out

Section 28



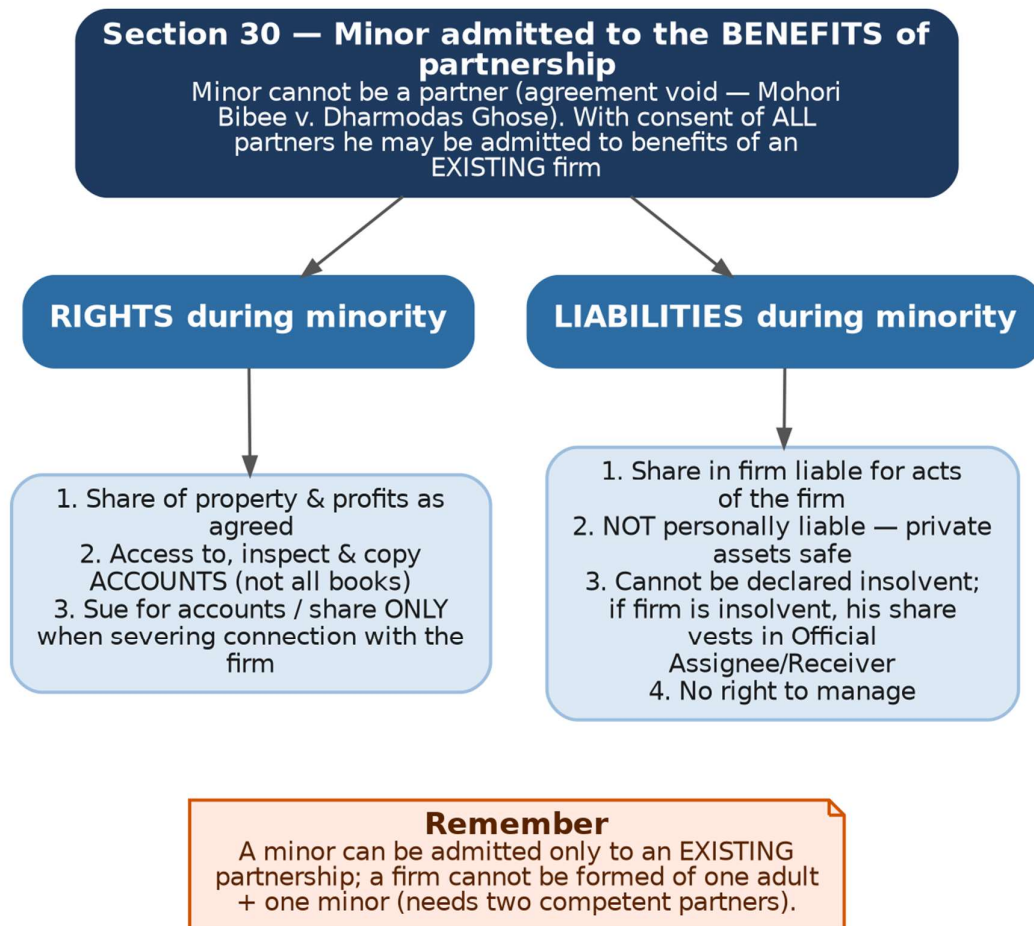
Examiner's Radar: Retired-partner-still-on-letterhead case studies combine S.28 with S.32(3) and S.72.

LDR Pointers

- ❑ Doctrine rests on estoppel: a person who allows others to act on the belief that he is a partner cannot later deny it.
- ❑ Only the person who gave credit on the faith of the representation can enforce this liability.
- ❑ The holding-out partner is **NOT** a real partner — he gets no rights in the firm; he only bears liability.
- ❑ Deceased partner's estate is protected by S.28(2) even if his name continues in the firm name.

Chart U1-10 · Minor Admitted to the Benefits — Position During Minority

Section 30(1) to (4)



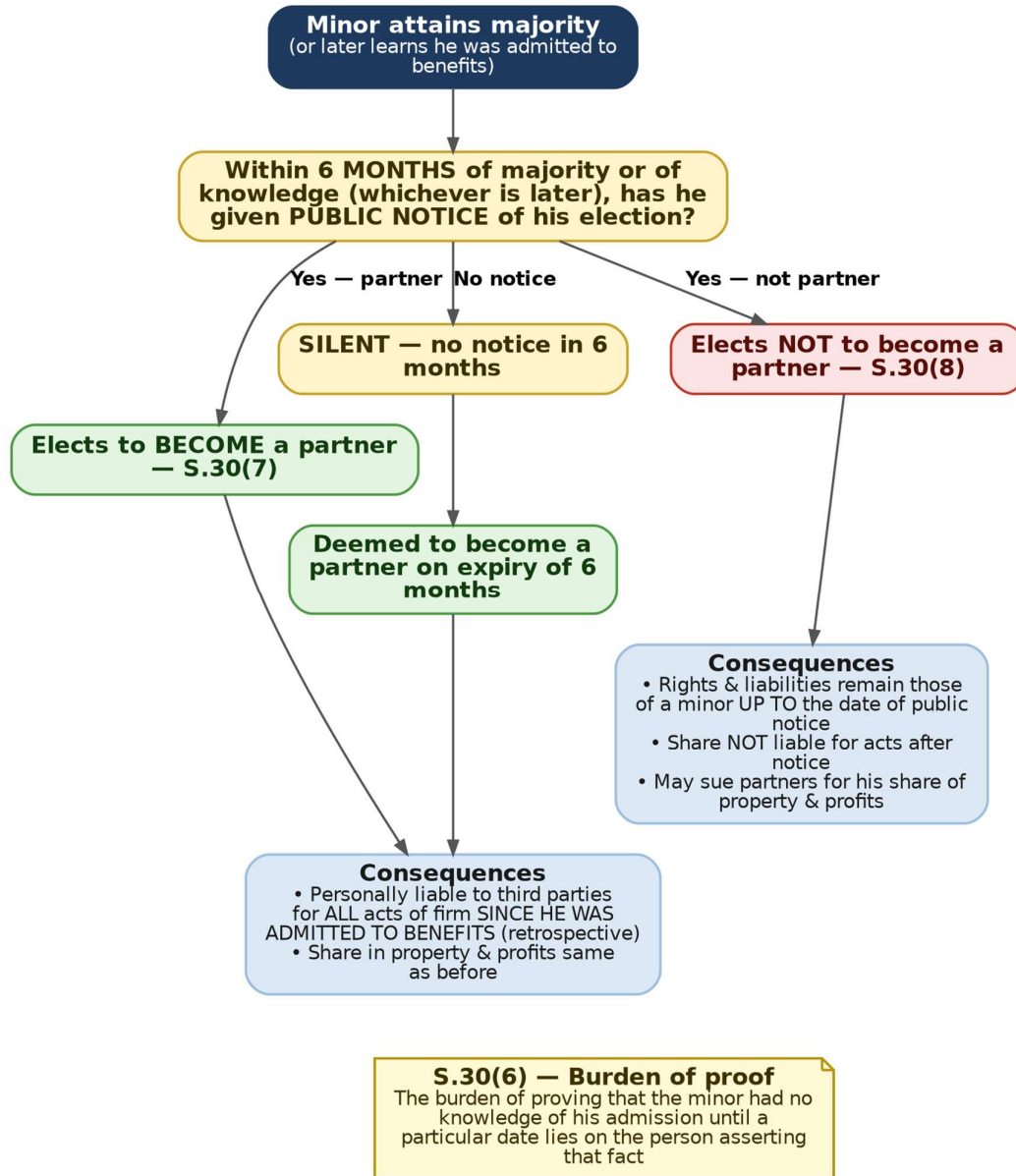
Examiner's Radar: May 2026 Q5(b) — 7 marks on a minor admitted to benefits (Section 30). Expect a repeat in case-study form.

LDR Pointers

- Consent of all partners is required to admit a minor to the benefits.
- The minor can see and copy the ACCOUNTS — not every book of the firm.
- He cannot sue the partners for accounts or his share unless he is severing his connection with the firm (S.30(4)).
- His liability is limited to his share; no personal liability during minority.

Chart U1-11 · Minor on Attaining Majority — The Six-Month Election

Section 30(5) to (8)



Examiner's Radar: High-priority: May 2026 Q5(b), 7 marks.

LDR Pointers

- Silence is costly: no notice within six months = deemed partner, with liability relating back to the date of admission to benefits.
- Public notice is given in the manner laid down in S.72 (Official Gazette + vernacular newspaper; for a registered firm also notice to the Registrar, S.63(2)).
- In case studies, state the time limit, the election made, and then apply S.30(7) or (8) — that is the full-mark structure.

UNIT 2

Relations of Partners

Sections 9 to 38 (other than 28 and 30) — duties and rights inter se, property, authority, liability to third parties, transferee, and reconstitution of the firm.

Chart U2-1 Duties of Partners

Chart U2-2 Rights of Partners

Chart U2-3 Mutual Rights and Liabilities — The Section 13 Default Rules

Chart U2-4 Contract Governs; Changes in the Firm

Chart U2-5 Partnership Property

Chart U2-6 Implied Authority of a Partner

Chart U2-7 Extension/Restriction of Authority, Emergency, Admissions and Notice

Chart U2-8 Liability to Third Parties

Chart U2-9 Rights of a Transferee of a Partner's Interest

Chart U2-10 Reconstitution of a Firm — At a Glance

Chart U2-11 Introduction and Retirement of a Partner

Chart U2-12 Expulsion of a Partner — The Good-Faith Test

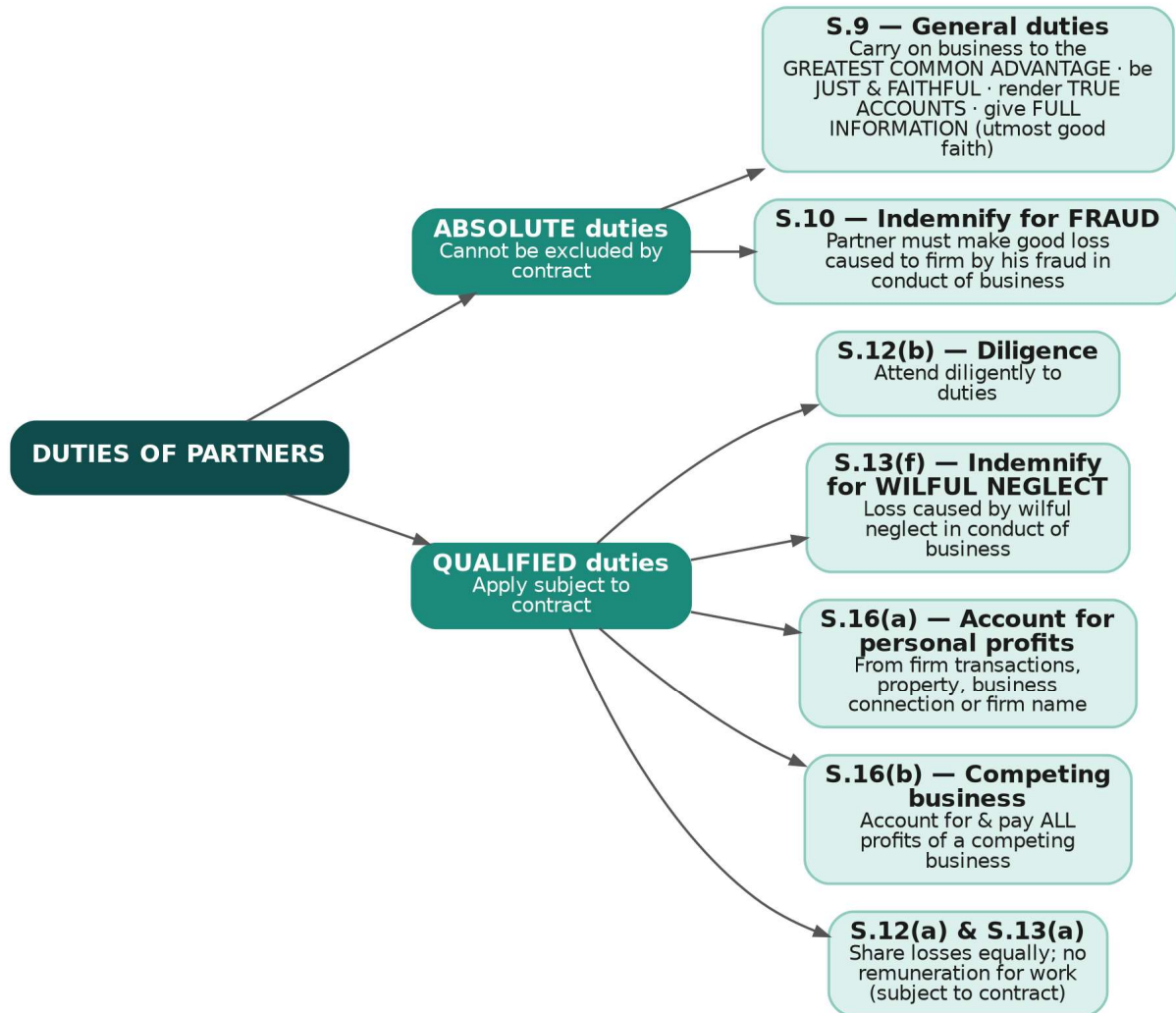
Chart U2-13 Insolvency and Death of a Partner

Chart U2-14 Rights of an Outgoing Partner

Chart U2-15 Revocation of Continuing Guarantee

Chart U2-1 · Duties of Partners

Sections 9, 10, 12(b), 13(f), 16



LDR Pointers

- ❑ S.9 and S.10 are absolute — the deed cannot exclude them.
- ❑ Distinguish: S.10 = loss by FRAUD; S.13(f) = loss by WILFUL NEGLECT. Both make the partner indemnify the firm.
- ❑ Personal profit test (S.16): Did the profit arise from the firm's transaction, property, connection or name? If yes — account to the firm.
- ❑ Example (ICAI): A, a grocer-partner of a sugar firm, sells his own sugar to the firm at market price without disclosure → must account for the secret profit.

Chart U2-2 · Rights of Partners

Sections 12, 13, 15, 21, 32, 33, 36, 37

RIGHTS OF PARTNERS (default rules — subject to contract)

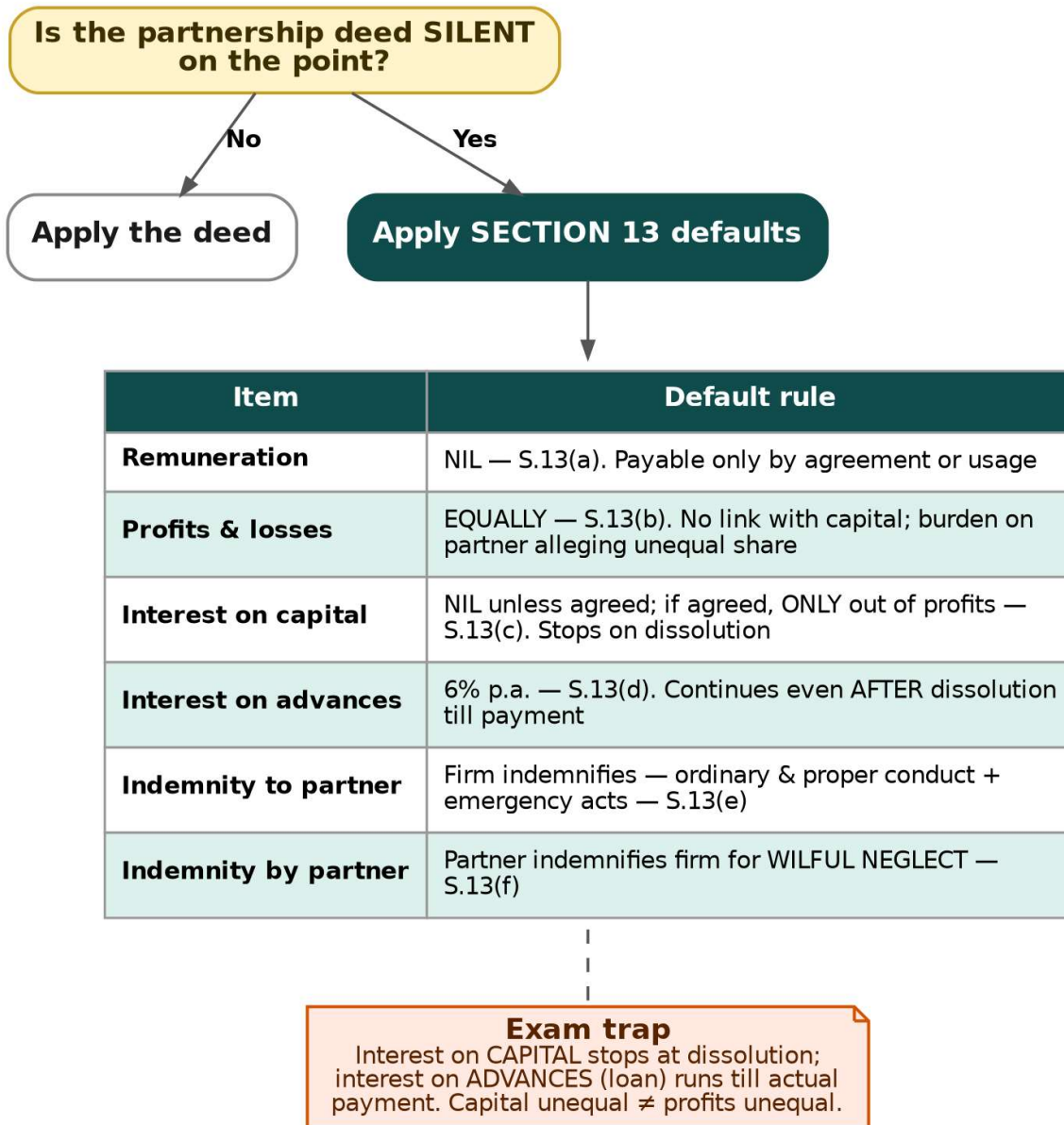
Right	Section & rule
Take part in business	S.12(a) — wrongfully excluded partner may seek injunction, dissolution, or accounts
Be consulted	S.12(c) — ordinary matters by MAJORITY (after hearing all, in good faith); change in NATURE of business needs ALL
Access books	S.12(d) — inspect & copy any book; S.12(e) — heirs / legal representatives of deceased partner too
Share profits	S.13(b) — EQUALLY, irrespective of capital
Interest on capital	S.13(c) — only if agreed; ONLY OUT OF PROFITS
Interest on advances	S.13(d) — 6% p.a. beyond agreed capital
Indemnity	S.13(e) — for payments in ordinary & proper conduct, and in emergency acts of ordinary prudence
Use of firm property	S.15 — exclusively for firm's purposes
Act in emergency	S.21 — to protect firm from loss
Retire / not be expelled	S.32 · S.33 (good-faith test)
Carry on competing business after leaving	S.36 — with restrictions
Share subsequent profits	S.37 — outgoing partner, if accounts unsettled

LDR Pointers

- ❑ All these rights are 'subject to contract' — the deed can change them (S.11).
- ❑ Right of access to books belongs even to a sleeping partner; it must be exercised bona fide.
- ❑ Majority rules on ordinary matters only; the NATURE of business can be changed only unanimously (S.12(c)).

Chart U2-3 · Mutual Rights and Liabilities — The Section 13 Default Rules

Section 13 (read with Section 11)



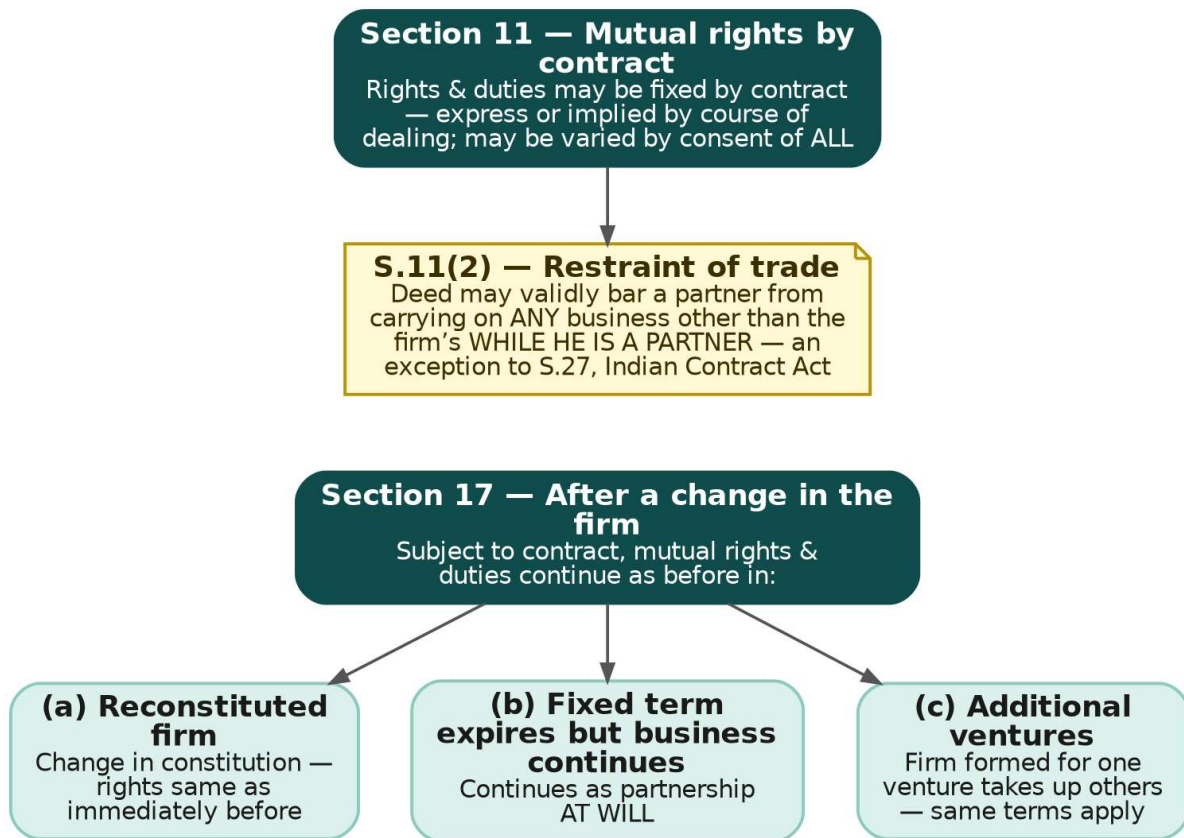
Examiner's Radar: Numerical case studies on profit sharing / interest on loan are frequent 4-mark questions.

LDR Pointers

- Case-study method: (1) check the deed; (2) if silent, quote the S.13 clause; (3) compute; (4) conclude.
- Rate for advances is fixed by statute at 6% p.a. — do not use the bank rate.
- No salary for a working partner unless agreed, even if he works harder than the others.

Chart U2-4 · Contract Governs; Changes in the Firm

Sections 11 and 17

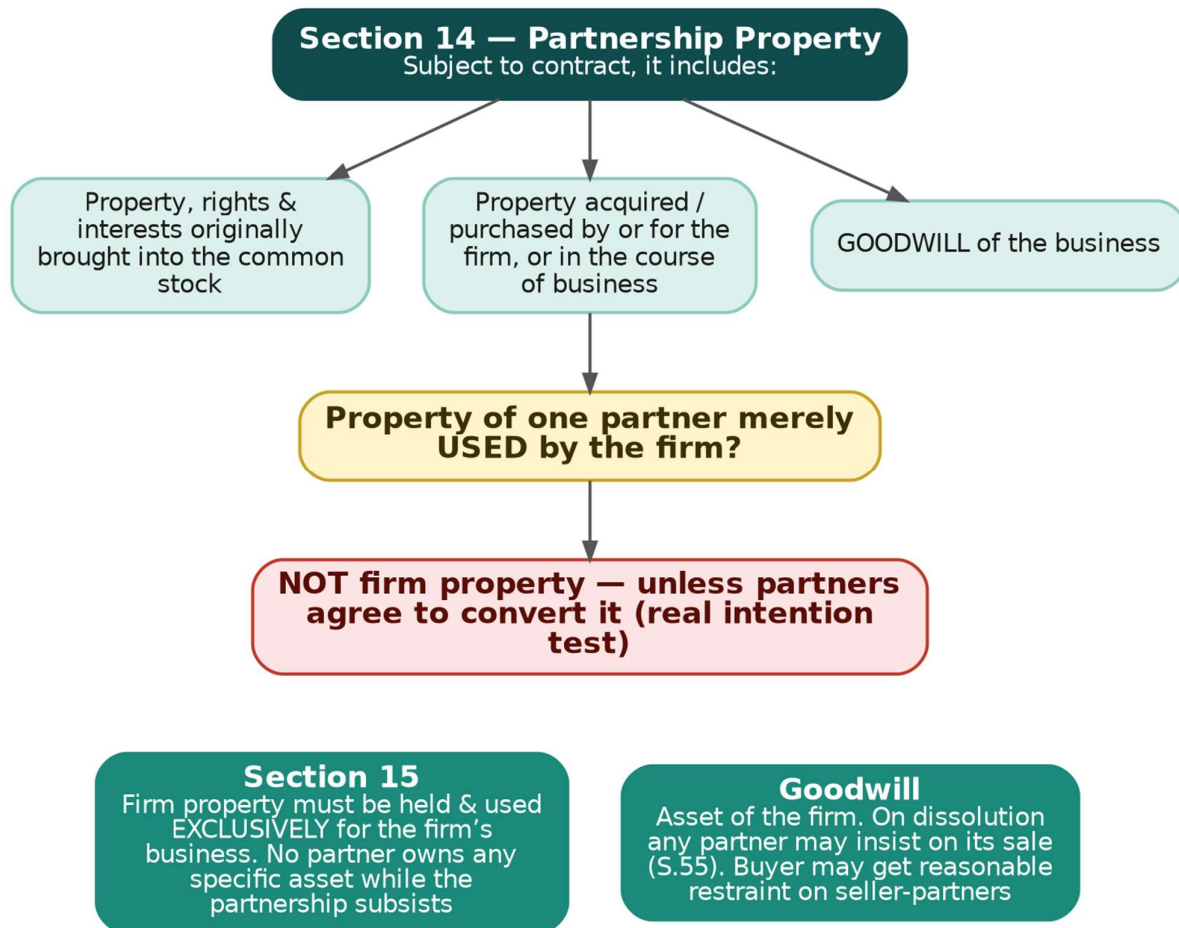


LDR Pointers

- S.11(2) permits a non-compete DURING partnership; S.36(2) and S.54/S.55(3) allow reasonable restraints AFTER leaving, on dissolution, or on sale of goodwill — learn all four together.
- S.17 is the 'continuity rule': the old terms roll forward unless the partners agree otherwise.

Chart U2-5 · Partnership Property

Sections 14 and 15

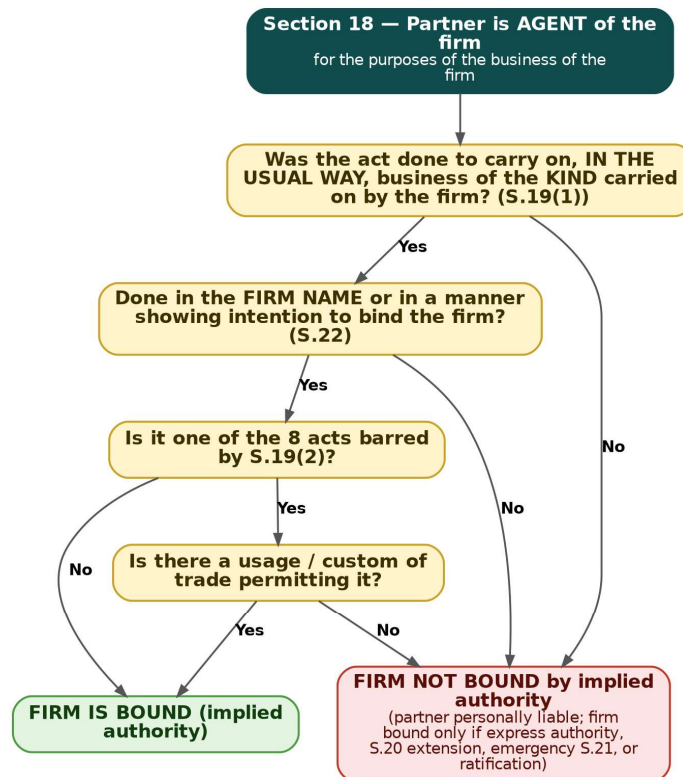


LDR Pointers

- The test is the **INTENTION** of the partners, not whose money bought the asset or whose name is on the title.
- Goodwill is firm property — it is dealt with on dissolution under S.55 (Chart U3-12).

Chart U2-6 · Implied Authority of a Partner

Sections 18, 19 and 22



#	S.19(2) — NO implied authority to:
1	Submit a dispute to ARBITRATION
2	Open a BANK ACCOUNT for the firm in his OWN name
3	COMPROMISE or relinquish a claim of the firm
4	WITHDRAW a suit filed on behalf of the firm
5	ADMIT liability in a suit against the firm
6	ACQUIRE immovable property for the firm
7	TRANSFER immovable property of the firm
8	Enter into PARTNERSHIP on behalf of the firm

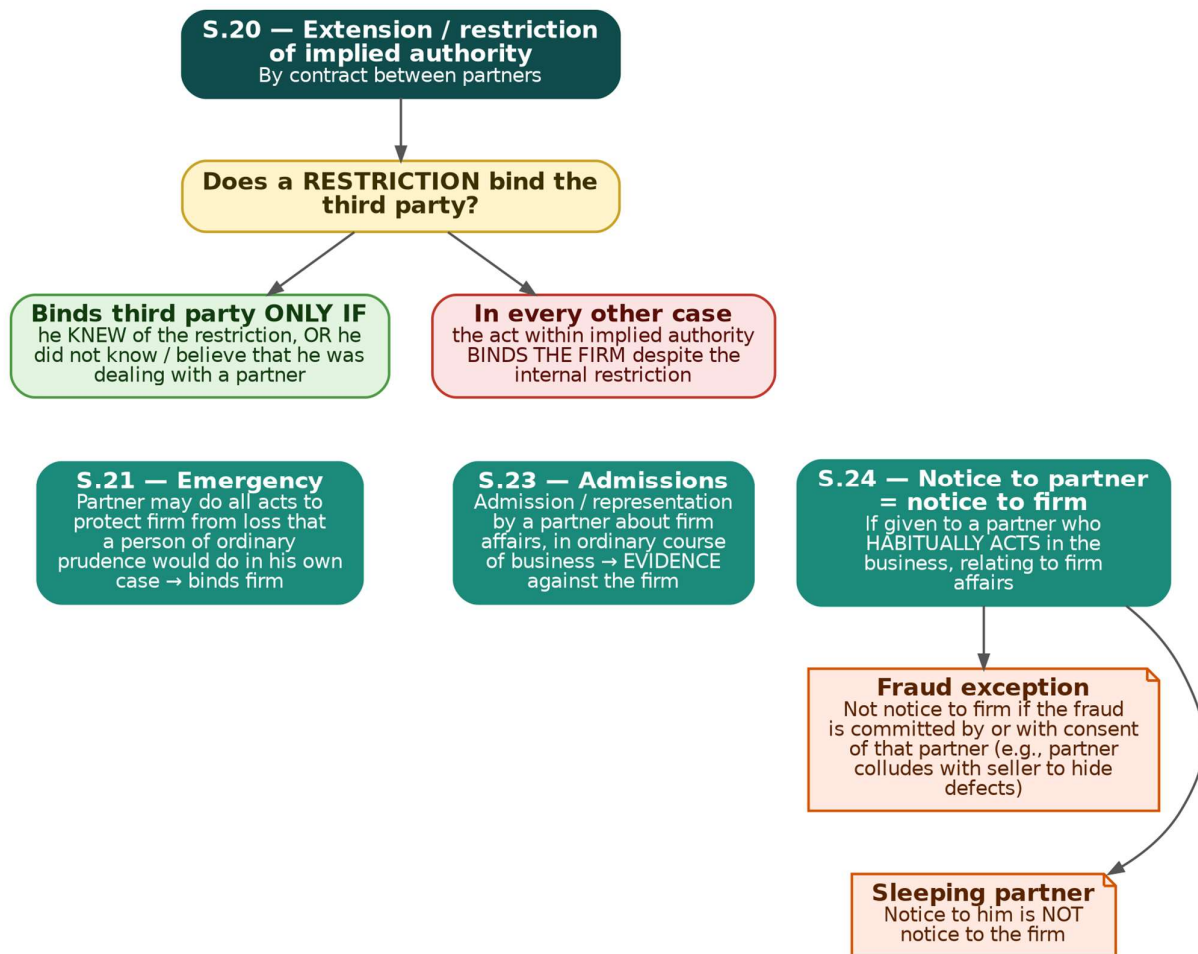
Examiner's Radar: May 2026 Q3(a)(ii) — 3 marks on implied authority (S.19). Learn the eight restrictions verbatim.

LDR Pointers

- ❑ Implied authority = act (i) for carrying on business, (ii) in the usual way, (iii) of the kind carried on by the firm, (iv) in the firm name.
- ❑ In a trading firm, implied authority usually covers: buying & selling goods, borrowing, pledging goods, receiving & paying debts, drawing/endorsing negotiable instruments, employing servants.
- ❑ Mnemonic for S.19(2) — 'A-B-C-W-A-A-T-P': Arbitration, Bank a/c in own name, Compromise, Withdraw suit, Admit liability, Acquire immovable, Transfer immovable, Partnership.

Chart U2-7 · Extension/Restriction of Authority, Emergency, Admissions and Notice

Sections 20, 21, 23 and 24

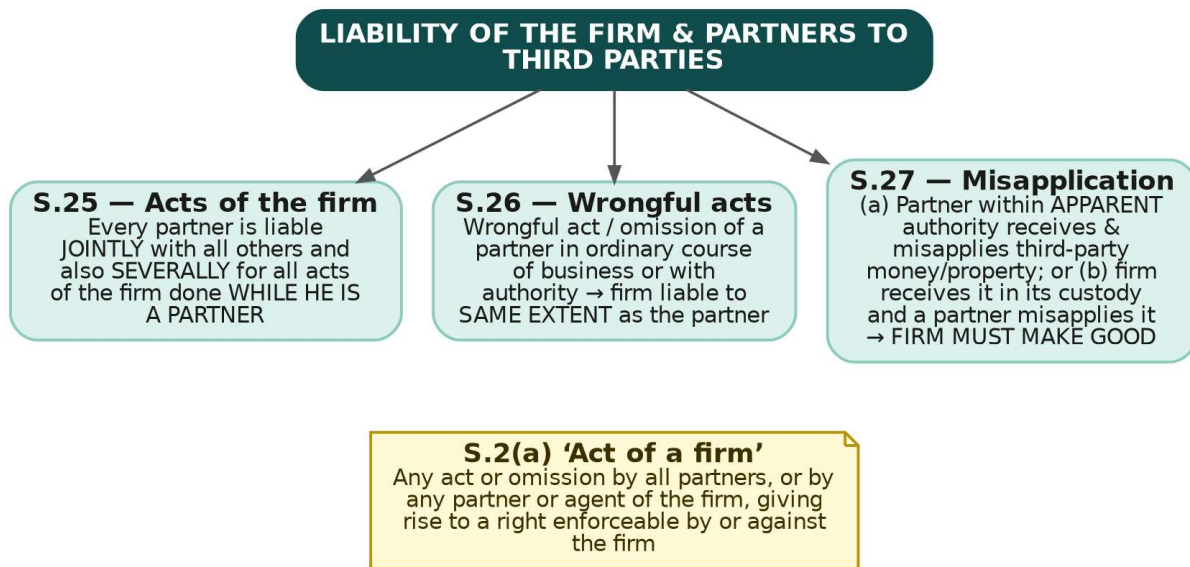


LDR Pointers

- ❑ A secret internal restriction does not protect the firm from outsiders who dealt in good faith.
- ❑ Notice must be (i) actual, (ii) to a working partner, (iii) about firm business; imputed knowledge fails where the partner himself defrauds the firm.

Chart U2-8 · Liability to Third Parties

Sections 25, 26 and 27

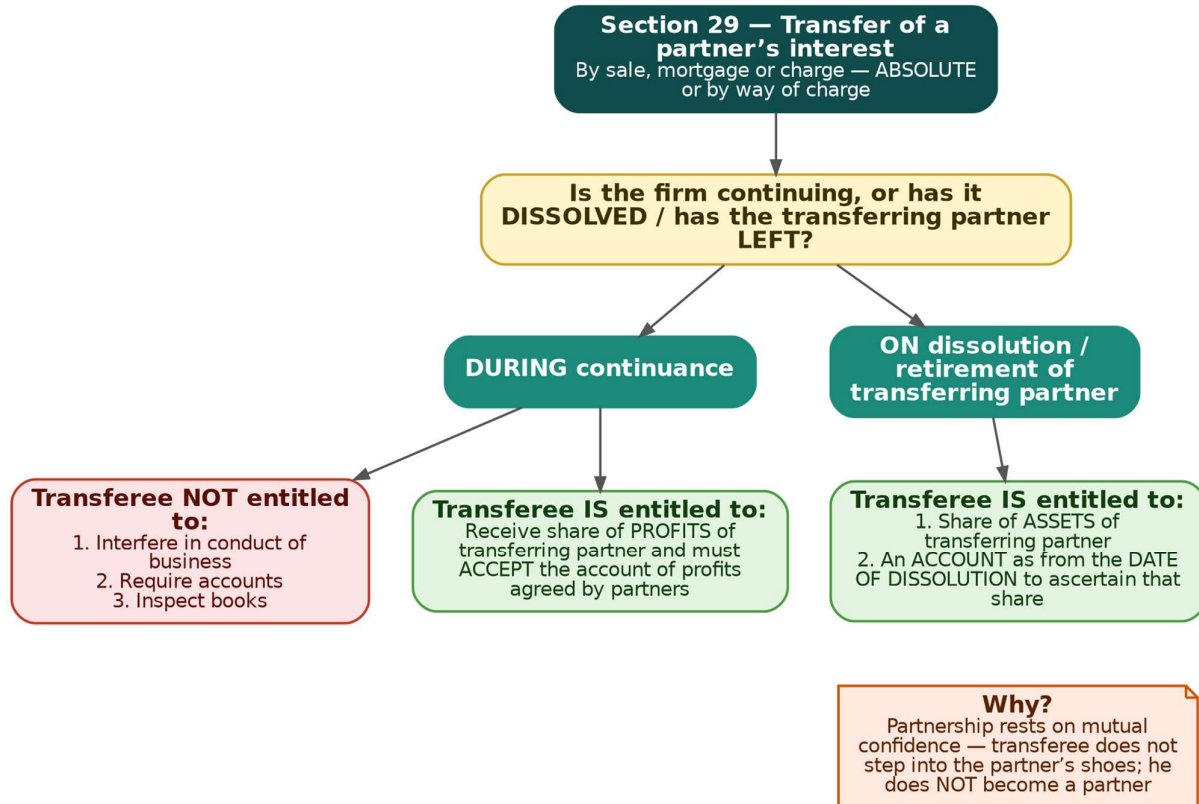


LDR Pointers

- Joint and several liability means the creditor may sue one, some or all partners; the paying partner then claims contribution from the others.
- Liability is unlimited — personal property of partners can be reached after firm property.
- For S.26 the wrong must be in the ordinary course of business or with authority of co-partners.

Chart U2-9 · Rights of a Transferee of a Partner's Interest

Section 29



Examiner's Radar: May 2026 Q3(a)(i) — 4 marks on transferee's rights (S.29).

LDR Pointers

- The transferor remains the partner and remains liable; the transferee only gets an economic interest.
- Transferee cannot challenge the profits declared by the partners, except for fraud.
- On dissolution: share of assets + account from date of dissolution (not for the past period).

Chart U2-10 · Reconstitution of a Firm — At a Glance

Sections 31 to 35

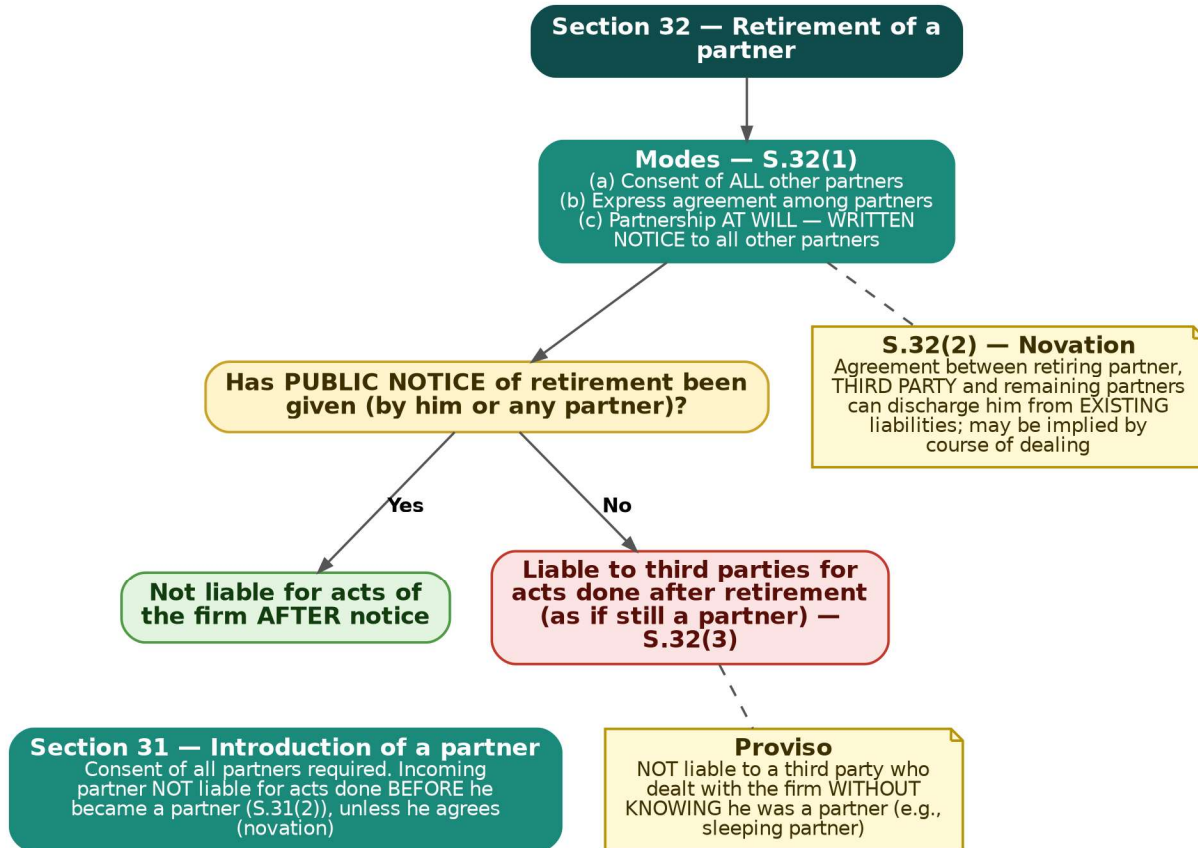
Event	How / consent	Public notice?	Liability
Introduction — S.31	Consent of ALL partners (subject to contract & S.30)	Not needed	Not liable for acts BEFORE admission (unless agreed)
Retirement — S.32	Consent of all / as per agreement / written notice if at will	YES — by retiring or any partner	Liable till public notice; can be discharged by novation
Expulsion — S.33	Majority, power conferred by contract, in GOOD FAITH	YES — as for retirement	As a retired partner
Insolvency — S.34	Ceases on date of ADJUDICATION ORDER	NOT needed	Estate not liable for acts AFTER the order
Death — S.35	Firm may continue if contract so provides	NOT needed	Estate not liable for acts AFTER death

LDR Pointers

- ❑ Public notice is needed only where the outside world could still believe the person is a partner — retirement and expulsion; not for death or insolvency.
- ❑ Mode of public notice: S.72 (Chart U3-13).
- ❑ Reconstitution revokes continuing guarantees for the future (S.38).

Chart U2-11 · Introduction and Retirement of a Partner

Sections 31 and 32

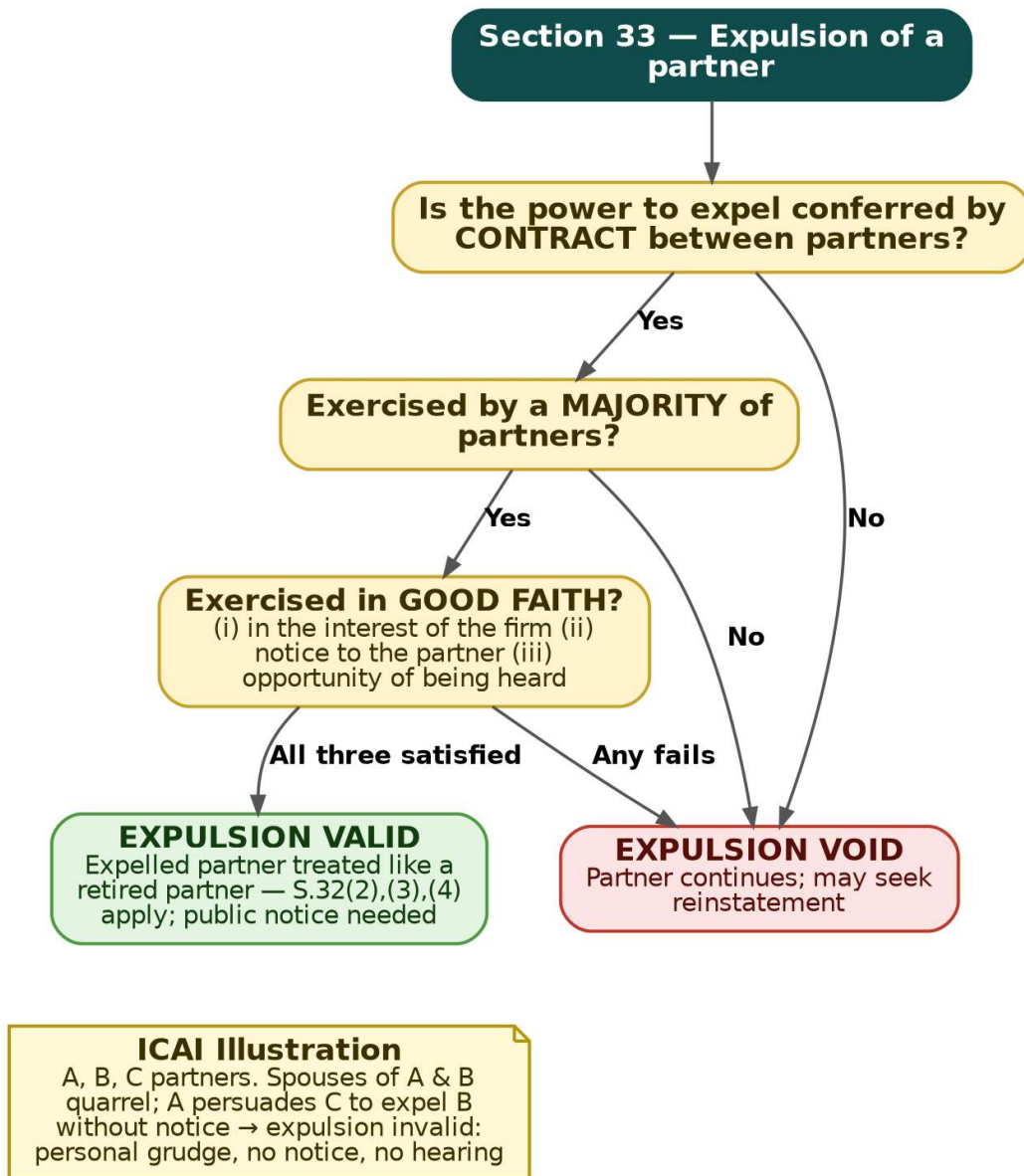


LDR Pointers

- ❑ Retirement does not by itself end liability for PAST debts — only novation with the creditor does.
- ❑ For FUTURE acts, public notice is the shield. No notice → liable to those who deal with the firm believing him to be a partner.
- ❑ Link to S.28 (holding out) where the retired partner's name continues on letterheads.

Chart U2-12 · Expulsion of a Partner — The Good-Faith Test

Section 33

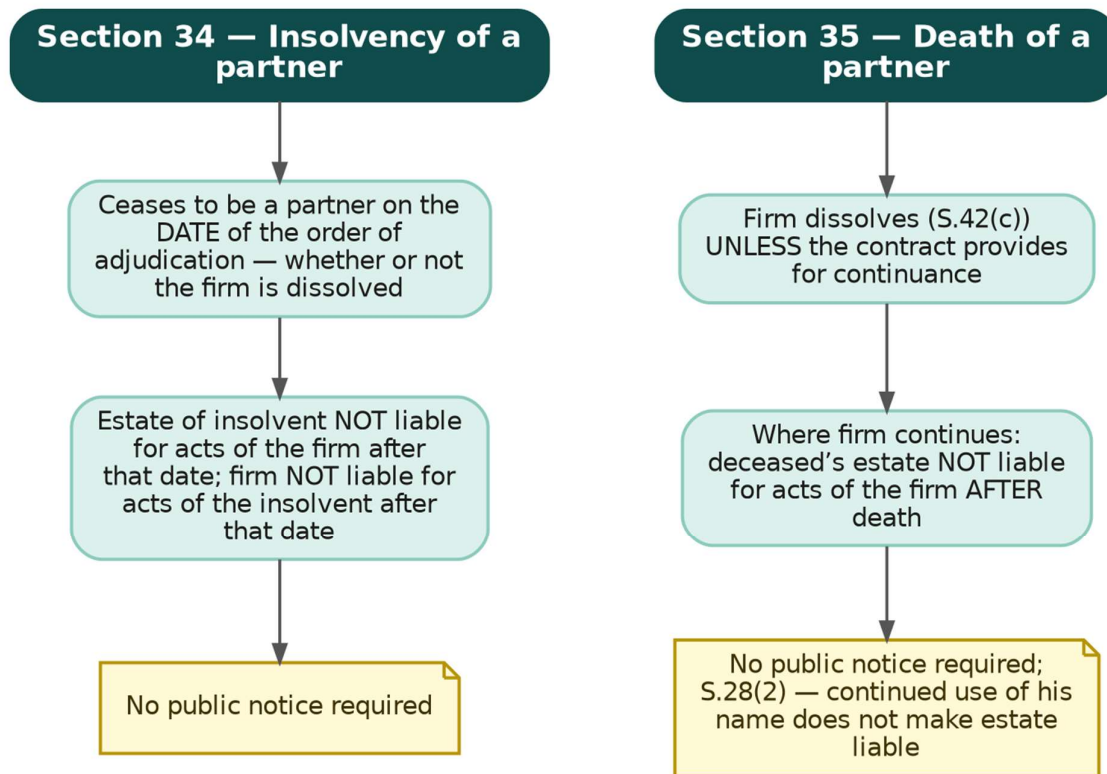


LDR Pointers

- ❑ Three cumulative conditions: power in contract + majority + good faith.
- ❑ Good faith has three parts: interest of the partnership, notice, and hearing (natural justice).
- ❑ Absent a contractual power, even a unanimous vote of the others cannot expel a partner.

Chart U2-13 · Insolvency and Death of a Partner

Sections 34 and 35

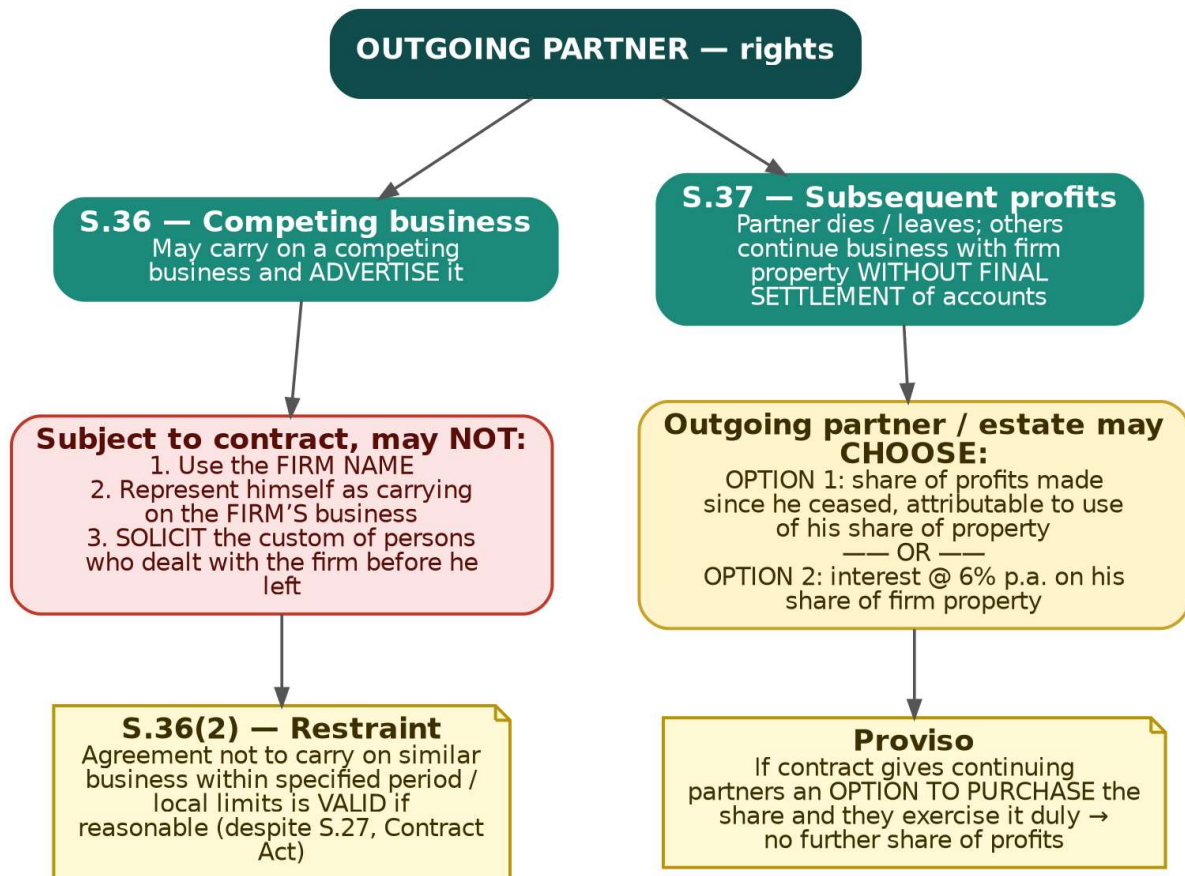


LDR Pointers

- ❑ Insolvency of **ONE** partner dissolves the firm only if S.42(d) applies (no contrary contract); insolvency of **ALL** or all-but-one = compulsory dissolution (S.41(a)).
- ❑ An insolvent partner can never bind the firm after adjudication (S.47 proviso).

Chart U2-14 · Rights of an Outgoing Partner

Sections 36 and 37

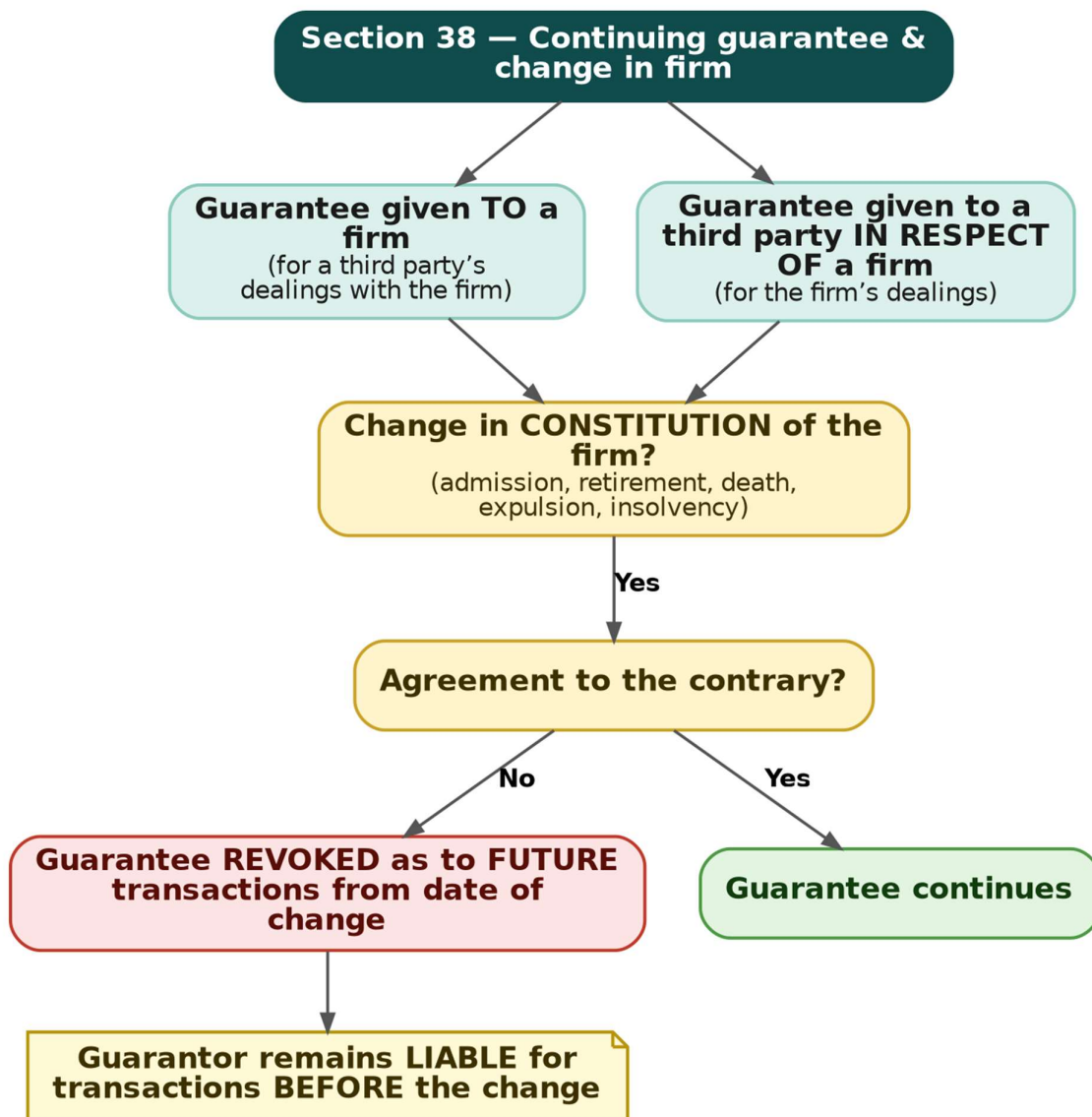


LDR Pointers

- S.36 lets the outgoing partner compete, but fairly — no firm name, no pretending, no soliciting old customers.
- S.37 option: choose profits OR 6% interest — whichever is higher; the choice belongs to the outgoing partner (or his estate).

Chart U2-15 · Revocation of Continuing Guarantee

Section 38 (read with Section 129, Indian Contract Act)



LDR Pointers

- ❑ Reason: the guarantor trusted a particular set of persons; a change in the firm changes the risk.
- ❑ Revocation is prospective only and is subject to contrary agreement.
- ❑ Integration point with Contract Act Unit 7 (Indemnity & Guarantee).

UNIT 3

Registration and Dissolution of a Firm

Sections 39 to 72 — registration and effect of non-registration, modes of dissolution, liability after dissolution, settlement of accounts, goodwill and public notice.

Chart U3-1 Procedure for Registration

Chart U3-2 After Registration — Changes, Evidence and Penalty

Chart U3-3 Effect of Non-Registration — The Three Disabilities

Chart U3-4 Non-Registration — Rights That Survive

Chart U3-5 Dissolution of Firm vs. Dissolution of Partnership

Chart U3-6 Modes of Dissolution

Chart U3-7 Dissolution by the Court

Chart U3-8 Liability for Acts After Dissolution

Chart U3-9 Winding Up: Right and Authority

Chart U3-10 Settlement of Accounts After Dissolution

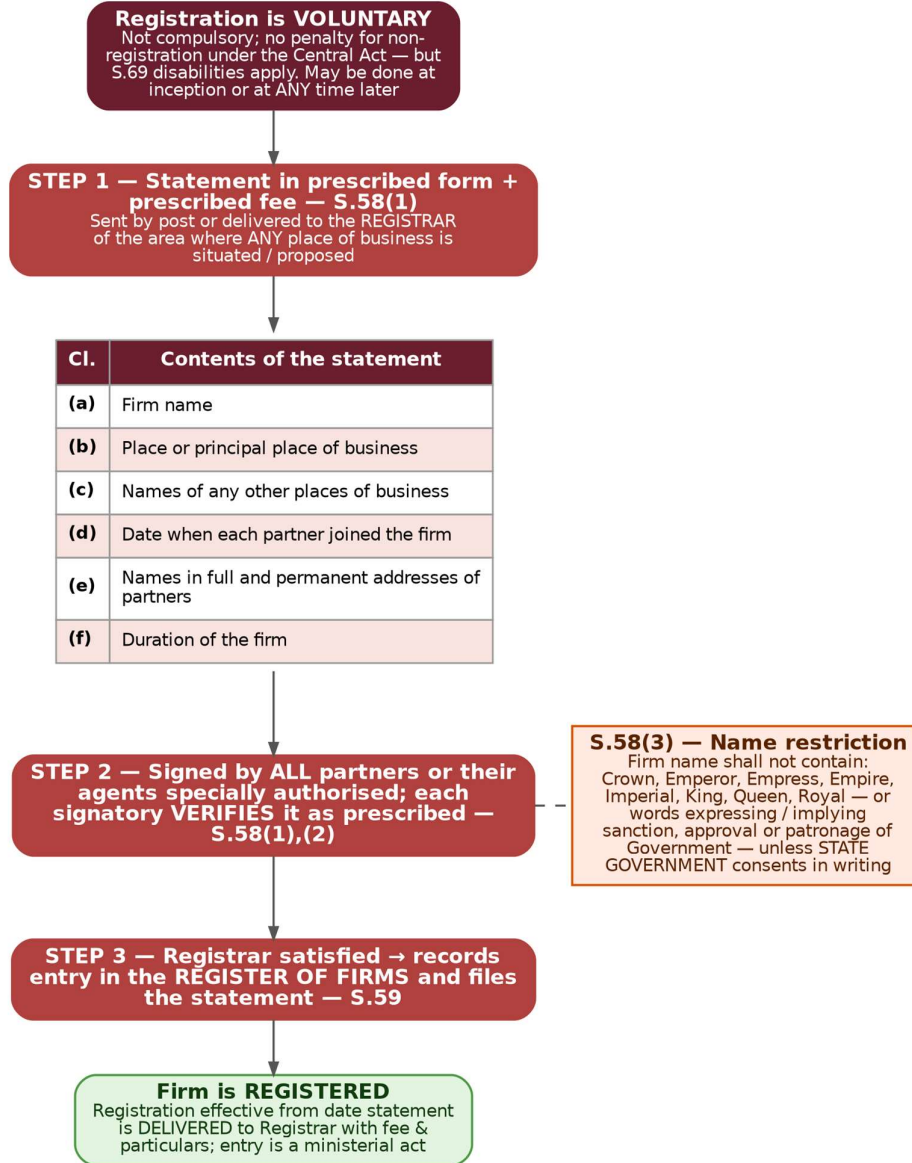
Chart U3-11 Application of Firm and Private Property

Chart U3-12 Other Consequences of Dissolution

Chart U3-13 Public Notice — When and How

Chart U3-1 · Procedure for Registration

Sections 57, 58 and 59



Examiner's Radar: Short notes on the procedure and name restrictions are regular 3-4 mark questions.

LDR Pointers

- ❑ Mnemonic for S.58 contents — 'N-P-O-D-N-D': Name, Principal place, Other places, Date of joining, Names & addresses, Duration.
- ❑ The Registrar is appointed by the State Government (S.57); registration law is administered by the States.
- ❑ Maharashtra note (state amendments — for practice, not for the ICAI answer): S.58(1A) requires the statement within one year of constitution, and S.59A-1 permits late registration on a penalty of ₹100 per year of delay or part thereof; the Indian Partnership (Maharashtra Amendment) Act, 2026 (notified 20 July 2026) substitutes S.58 to move registration online. Verify current state rules before filing.

Chart U3-2 · After Registration — Changes, Evidence and Penalty

Sections 60 to 68, 70, 71

REGISTERED FIRM — later changes to be intimated to Registrar

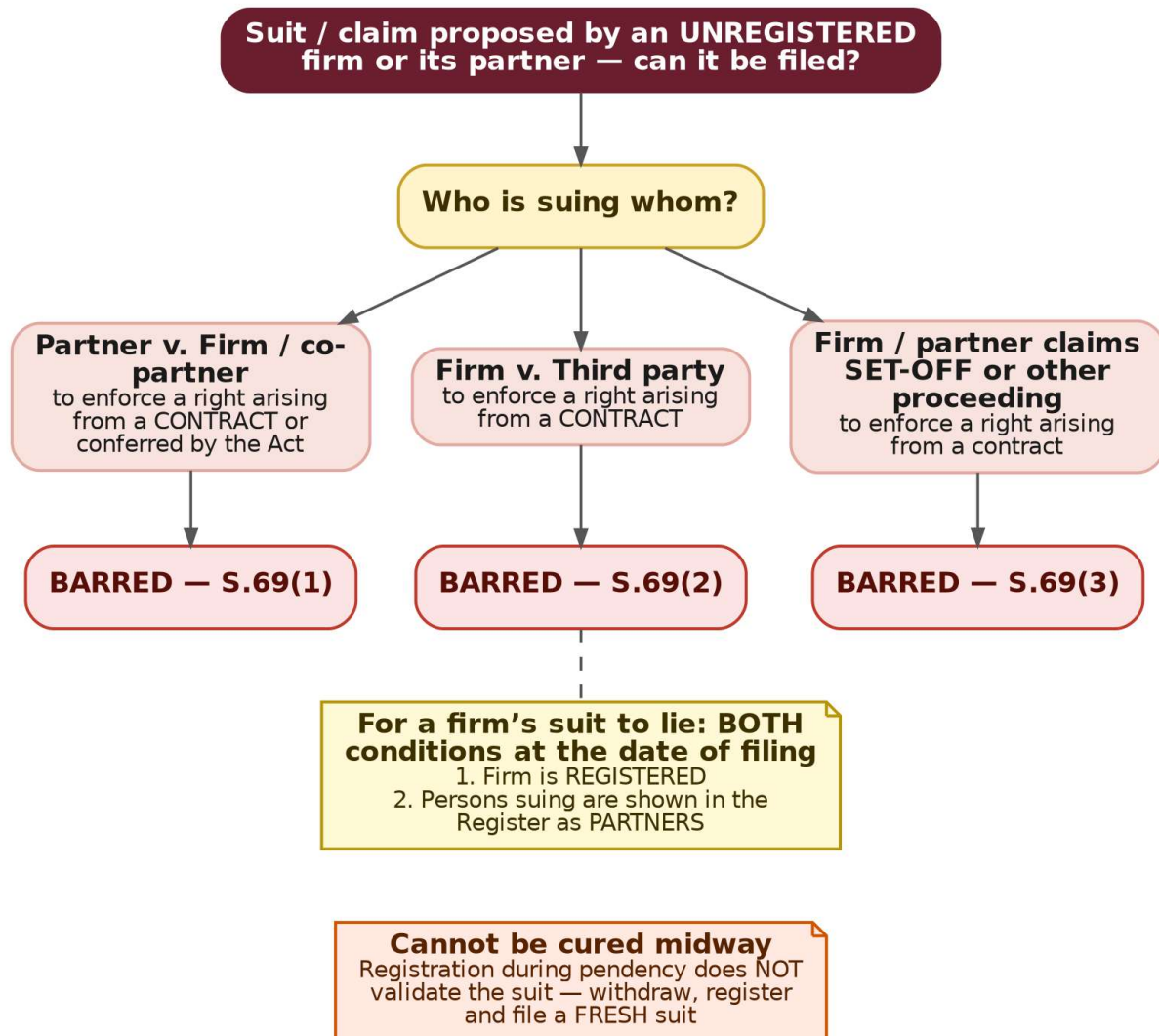
Section	Rule
S.60	Alteration in firm name or principal place of business — statement signed & verified by all partners
S.61	Closing / opening of a branch — intimation by any partner or agent
S.62	Change in name or permanent address of a partner
S.63(1)	Change in constitution (partner joins / leaves) and dissolution — notice by any partner (incoming, continuing or outgoing) / agent
S.63(2)	Minor's election on majority (to become or not to become a partner) — notice by him or his agent
S.64	Registrar may rectify mistakes in the register
S.65	Court deciding a matter may direct amendment of the register
S.66-67	Register open to inspection; certified copies on fee
S.68	Statement / intimation signed by a person is CONCLUSIVE PROOF against him of any fact stated; certified copy is proof of registration
S.70	False particulars — imprisonment up to 3 MONTHS, or fine, or both
S.71	State Government may make rules (forms, fees)

LDR Pointers

- ❑ Registration is a continuing obligation: the register must reflect every change.
- ❑ S.68 makes the partner's own statements conclusive against him — he cannot deny them later.
- ❑ Maharashtra note: S.69A (state amendment) imposes a penalty for failure to comply with Ss.60-63 within the time allowed.

Chart U3-3 · Effect of Non-Registration — The Three Disabilities

Section 69(1), (2) and (3)



Examiner's Radar: Very frequent: consequences of non-registration with exceptions (6-7 marks).

LDR Pointers

- ❑ The Act uses 'persuasive pressure' — no penalty, only disabilities.
- ❑ The bar covers only rights 'arising from a contract' (and, for partners inter se, rights conferred by the Act). A suit in tort or for a statutory right unconnected with contract is not barred.
- ❑ Third parties can always sue an unregistered firm — the disability is one-sided.

Chart U3-4 · Non-Registration — Rights That Survive

Section 69(3) and (4)

What NON-REGISTRATION does NOT affect

#	Exception
1	Third party's right to sue the firm / partners — unaffected
2	Partner's suit for DISSOLUTION, for ACCOUNTS of a dissolved firm, or to REALISE property of a dissolved firm — S.69(3)(a)
3	Powers of an Official Assignee / Receiver to realise property of an INSOLVENT partner — S.69(3)(b)
4	Suits or set-off NOT EXCEEDING ₹100 in value — S.69(4)(b)
5	Firms with no place of business in the territories / in areas where the Chapter does not apply — S.69(4)(a)
6	Legal representatives of a deceased partner suing for accounts / share
7	Rights not arising from contract — suits in tort; criminal proceedings (e.g., theft, criminal breach of trust)

LDR Pointers

- Remember '₹100' — the only money figure in S.69.
- Rights of a partner of an unregistered firm to sue for dissolution and accounts survive — dissolution is the escape route.
- Write the disabilities first, then the exceptions — examiners award marks for both halves.

Chart U3-5 · Dissolution of Firm vs. Dissolution of Partnership

Section 39

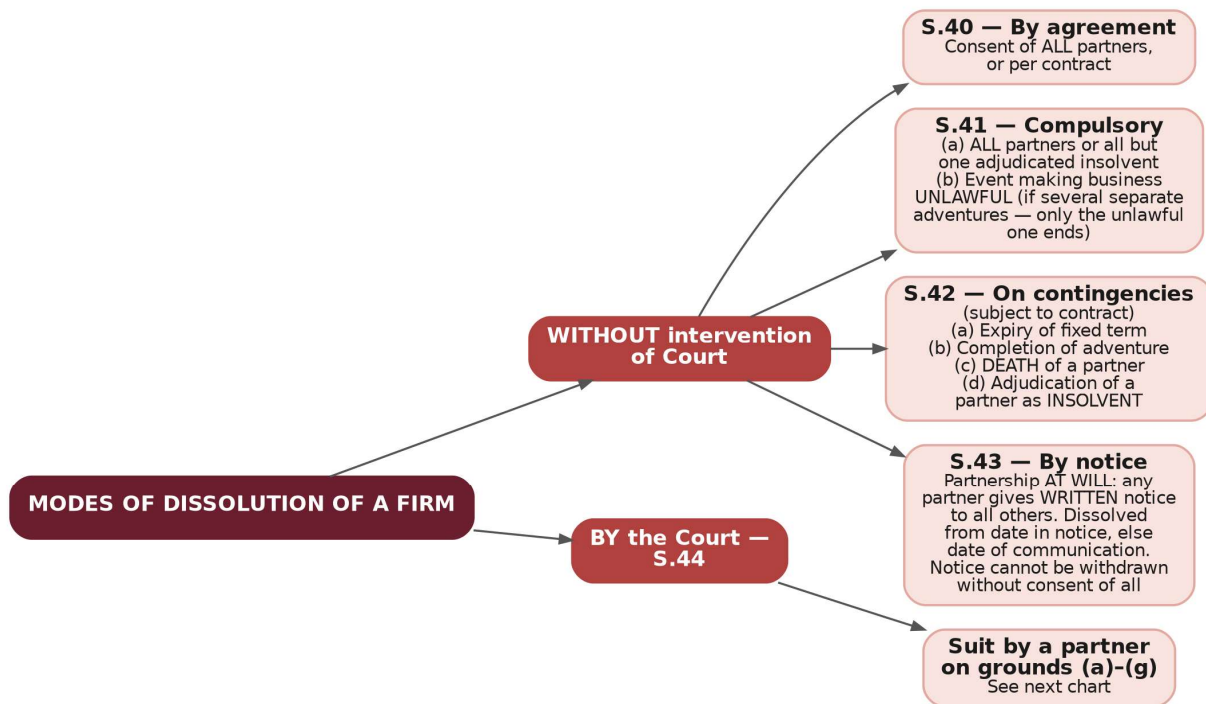
Basis	Dissolution of FIRM	Dissolution of PARTNERSHIP
Meaning	Relation between ALL partners ends — S.39	Relation of one or more partners ends; others continue (reconstitution)
Business	Comes to an end	Continues
Winding up	Assets realised, liabilities paid	Only revaluation / adjustment
Court	May be by court decree (S.44)	Never by court order
Relation	Necessarily dissolves partnership	Need not dissolve the firm
Books	Finally closed	Not closed

LDR Pointers

- Death, retirement, insolvency or expulsion of a partner dissolves the PARTNERSHIP; the FIRM is dissolved only if the business stops.
- Every dissolution of the firm involves dissolution of partnership, but not vice versa.

Chart U3-6 · Modes of Dissolution

Sections 40 to 44



LDR Pointers

- Mnemonic: A-C-C-N-C = Agreement, Compulsory, Contingencies, Notice, Court.
- S.41 cannot be excluded by contract; S.42 can ('subject to contract').
- Death of a partner dissolves the firm only if there is no contract to continue (S.42(c)).

Chart U3-7 · Dissolution by the Court

Section 44

Section 44 — Dissolution by the COURT on a suit by a partner, on any of these grounds

Ground	Explanation
(a) Insanity	Partner of UNSOUND MIND — suit by his next friend or any other partner. Temporary illness is not enough; not available against a sleeping partner
(b) Permanent incapacity	Partner (other than the suing partner) permanently incapable of performing his duties
(c) Misconduct	Conduct likely to prejudicially affect the business — need not relate to the business itself (e.g., conviction for a moral offence harming reputation)
(d) Persistent breach	Wilful / persistent breach of agreement, or conduct making it not reasonably practicable to carry on with him — embezzlement, false accounts, keeping excess cash, refusing to show accounts
(e) Transfer of interest	Partner transfers WHOLE interest to a third party, or allows his share to be charged / sold in recovery of arrears of land revenue
(f) Perpetual losses	Business cannot be carried on except at a loss
(g) Just & equitable	Deadlock in management · partners not on speaking terms · loss of substratum · gambling by a partner on the stock exchange

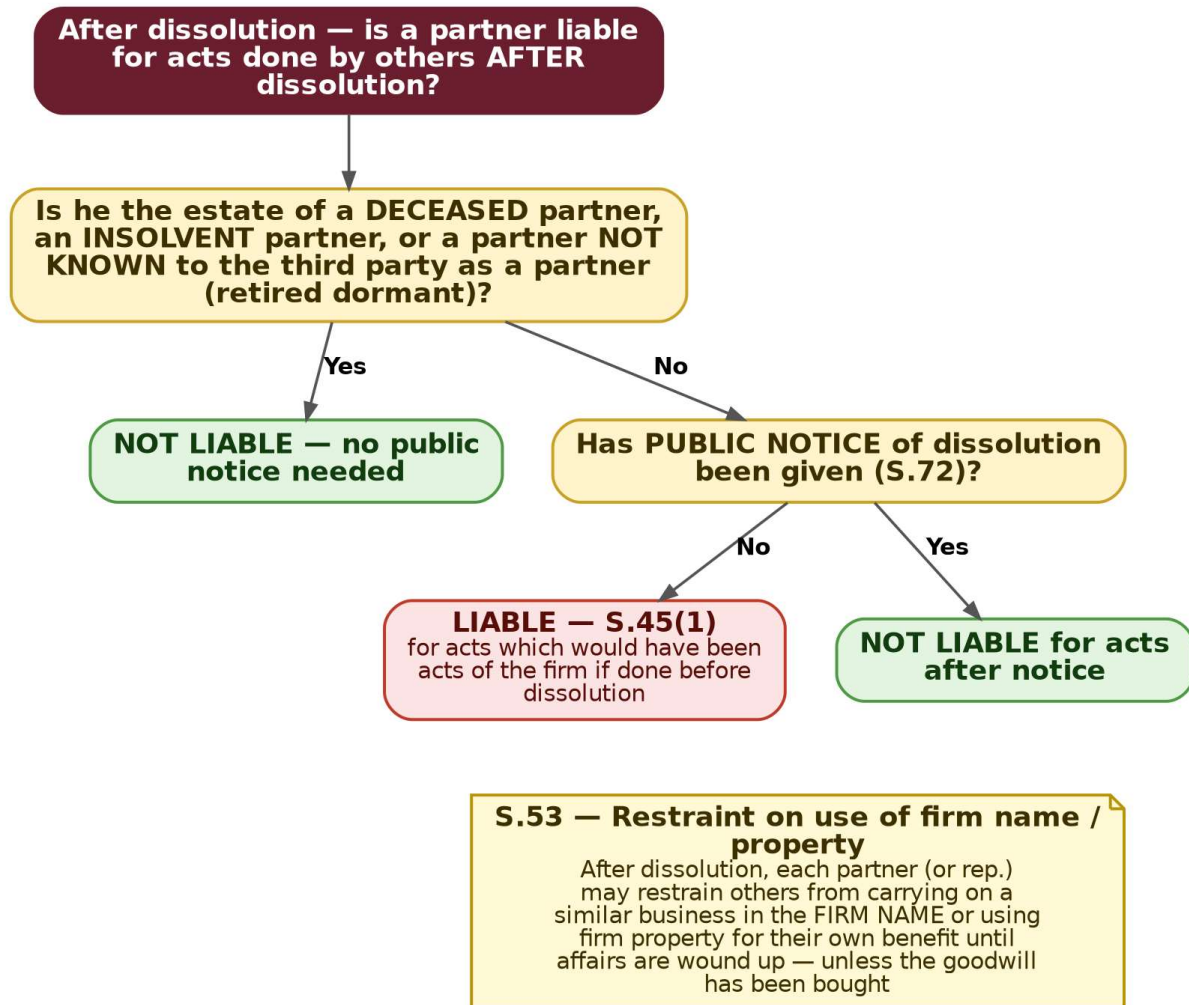
Examiner's Radar: Case studies on S.44 grounds (misconduct, deadlock, persistent loss) are a regular 4-mark pattern.

LDR Pointers

- Mnemonic 'I-P-M-B-T-L-J': Insanity, Permanent incapacity, Misconduct, Breach, Transfer, Losses, Just & equitable.
- Under grounds (b), (c) and (d) the suing partner cannot rely on his own incapacity or misconduct.
- Court dissolution is discretionary — the court judges whether the ground is made out.

Chart U3-8 · Liability for Acts After Dissolution

Sections 45 and 53



LDR Pointers

- Public notice is the partner's protection after dissolution, just as after retirement (S.32(3)).
- The three exempt categories need no notice: deceased, insolvent, and a partner not known to the dealer as a partner.

Chart U3-9 · Winding Up: Right and Authority

Sections 46 and 47

S.46 — Right to have business WOUND UP

On dissolution, every partner or his representative is entitled, as against all others, to have

1. firm property applied in payment of DEBTS & LIABILITIES of the firm, and
2. the SURPLUS distributed among partners according to their rights



S.47 — Continuing authority for winding up

Authority of each partner to bind the firm and mutual rights & obligations CONTINUE after dissolution — only so far as necessary to:

- (a) wind up the affairs of the firm, and
- (b) complete transactions begun but unfinished at dissolution



Proviso

Firm is in NO case bound by acts of a partner who has been adjudicated INSOLVENT — but liability of a person who, after adjudication, represents himself / knowingly permits himself to be represented as a partner is not affected (holding out)

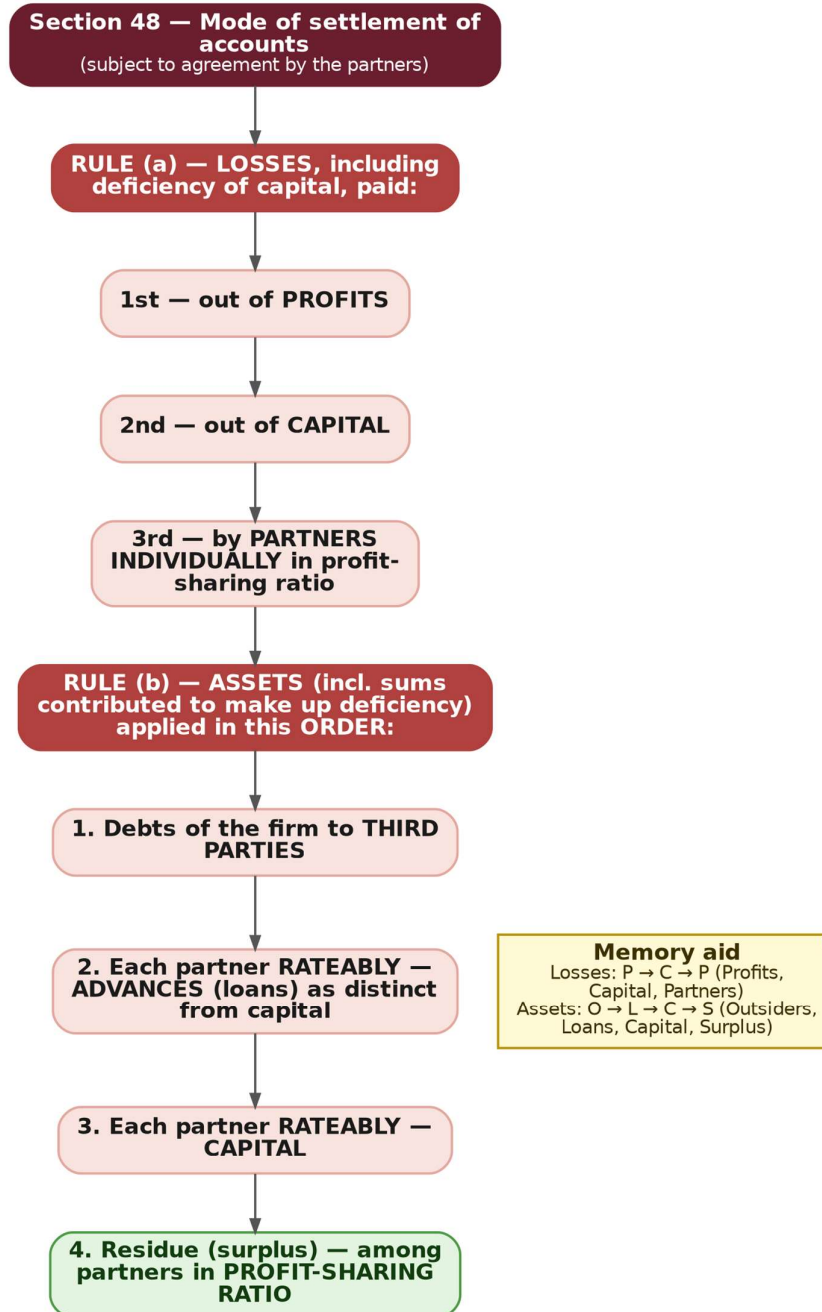
Examiner's Radar: May 2026 Q1(c) — 6 marks combining Sections 46, 47 and 48.

LDR Pointers

- S.46 is a personal right of each partner; the Court can be asked to enforce it.
- S.47 authority is limited: new business cannot be started in the firm's name after dissolution.

Chart U3-10 · Settlement of Accounts After Dissolution

Section 48



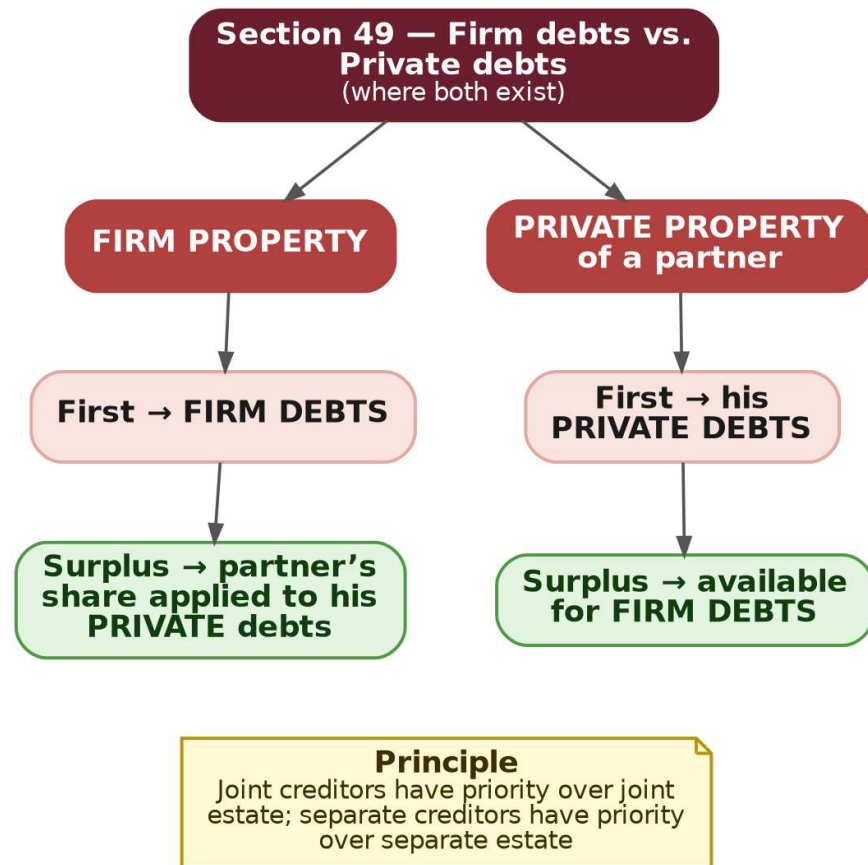
Examiner's Radar: May 2026 Q1(c) — S.48 order of payment was part of the 6-mark question.

LDR Pointers

- ❑ Outsiders are always paid first; partners' loans rank before partners' capital.
- ❑ A partner who has no capital left must still contribute his share of the deficiency in profit-sharing ratio.
- ❑ In numericals, show the waterfall line by line — it earns method marks even if the arithmetic slips.

Chart U3-11 · Application of Firm and Private Property

Section 49



LDR Pointers

- Two parallel 'cross-over' rules: each estate pays its own creditors first; only the surplus crosses over.
- Applies where there are joint debts of the firm and separate debts of a partner — typical in insolvency questions.

Chart U3-12 · Other Consequences of Dissolution

Sections 50 to 55

OTHER CONSEQUENCES OF DISSOLUTION

Section	Rule
S.50 — Personal profits after dissolution	S.16(a) applies to transactions by a surviving partner or a deceased partner's representative BEFORE winding up is complete. Exception: a partner who has bought the GOODWILL may use the firm name
S.51 — Return of premium	Fixed-term firm dissolved BEFORE expiry (other than by DEATH): partner who paid premium entitled to a reasonable part — NOT if dissolution is due to his misconduct, or by agreement with no provision for return
S.52 — Rescission for fraud / misrepresentation	Innocent party gets: (a) LIEN on surplus assets for sums paid for share / capital; (b) rank as CREDITOR in place of firm creditors paid by him; (c) INDEMNITY from the guilty partner against all firm debts
S.53 — Restraint on firm name / property	Until winding up, any partner may restrain others from using firm name or property for their own benefit (unless goodwill bought)
S.54 — Restraint of trade on dissolution	Partners may agree, on or in anticipation of dissolution, not to carry on similar business within specified period / local limits — valid if REASONABLE
S.55 — Sale of goodwill after dissolution	(1) Goodwill included in assets; may be sold separately or with other property. (2) Seller-partner may carry on competing business and advertise it but may NOT use firm name, represent himself as carrying on firm's business, or solicit old customers. (3) Reasonable restraint agreement with buyer is valid

LDR Pointers

- Three restraint-of-trade exceptions within the Act: S.11(2) (during partnership), S.36(2) (outgoing partner), S.54 & S.55(3) (dissolution / sale of goodwill).
- S.52 remedies for the defrauded partner are best remembered as 'L-C-I': Lien, Creditor's rank, Indemnity.

Chart U3-13 · Public Notice — When and How

Section 72

Section 72 — PUBLIC NOTICE

Where is it needed, and how is it given?

Event	Section	Public notice?
Retirement of a partner	S.32(3)	Yes
Expulsion of a partner	S.33(2)	Yes
Dissolution of the firm	S.45	Yes
Minor's election on majority	S.30(5)	Yes
Death / insolvency of a partner	S.34, S.35	Not required

HOW — S.72

- (a) Notice to the REGISTRAR under S.63 (for retirement / expulsion / dissolution / minor's election in a REGISTERED firm), AND
 (b) Publication in the OFFICIAL GAZETTE and in at least one VERNACULAR newspaper circulating in the district of the firm's place(s) of business

LDR Pointers

- Public notice converts a private change into constructive notice to the world.
- For an unregistered firm, Gazette + vernacular newspaper publication is enough; for a registered firm, intimation to the Registrar is also required.

Revision Tools

Figures to Remember

Figure	What it stands for	Section
50	Maximum partners in a firm	S.464 CA 2013 + Rule 10
2	Minimum partners	S.4
6% p.a.	Interest on partner's advances (loan)	S.13(d)
6% p.a.	Outgoing partner's option instead of profits	S.37
6 months	Minor's election after majority / knowledge	S.30(5)
₹100	Suits / set-off not barred by non-registration	S.69(4)
3 months	Max. imprisonment for false particulars	S.70
8	Acts outside implied authority	S.19(2)
6	Particulars in registration statement	S.58(1)
7	Grounds for dissolution by court	S.44(a)-(g)
4	Non-partner profit-sharers (explanations)	S.6
3	Good-faith conditions for expulsion	S.33

May 2026 Examiner's Map — what was asked from this chapter

Unit	Question	Marks	Topic	Section(s)	Chart
Unit 1	Q5(b)	7	Minor admitted to benefits of partnership	S.30	U1-10, U1-11
Unit 2	Q3(a)(i)	4	Rights of transferee of partner's interest	S.29	U2-9
Unit 2	Q3(a)(ii)	3	Implied authority of a partner	S.19	U2-6
Unit 3	Q1(c)	6	Winding up and settlement of accounts	Ss.46, 47, 48	U3-9, U3-10

Twenty marks from one chapter: the May 2026 paper tested the minor (S.30), the transferee (S.29), implied authority (S.19) and winding up (Ss.46-48) — every one of them through facts rather than a direct "explain" question. Practise reading the facts, spotting the section, and applying it step by step.

25 Last-Minute Exam Traps

1. Profit sharing is only prima facie evidence of partnership; mutual agency is the real test (S.6; K.D. Kamath).
2. Agreement to share LOSSES is not an essential element; one partner may agree to bear all losses.
3. HUF members carrying on a family business are not partners — relation by status, not contract (S.5).
4. A firm is not a legal person; it cannot be a partner in another firm as such.
5. A minor cannot be a partner — only admitted to the benefits of an existing firm with consent of ALL partners (S.30(1)).
6. Silence for 6 months after majority = minor becomes a partner, liable from the date of his ADMISSION to benefits (S.30(5),(7)).
7. Nominal partner: no share of profits, yet fully liable to third parties.
8. Sub-partner has no rights against, and no liability to, the firm.
9. Holding out needs credit given on the faith of the representation; fraud is not required (S.28).
10. No salary to a working partner unless agreed (S.13(a)); profits shared equally, not in capital ratio (S.13(b)).
11. Interest on capital only out of profits and stops at dissolution; interest on advances @ 6% runs till payment.
12. Change in the NATURE of business needs unanimity; ordinary matters by majority (S.12(c)).
13. S.19(2)(b) bars opening a bank account on behalf of the firm in the partner's OWN name — always check whose name the account is in.
14. An internal restriction on authority binds a third party only if he knew of it or did not know he was dealing with a partner (S.20).
15. Notice to a sleeping partner is not notice to the firm; notice to an acting partner is — except where he defrauds the firm (S.24).
16. Incoming partner is not liable for debts before admission (S.31(2)); retiring partner stays liable for past debts unless novation (S.32(2)).
17. Public notice is needed on retirement, expulsion and dissolution — NOT on death or insolvency.
18. Expulsion needs a contractual power + majority + good faith (interest of firm, notice, hearing) (S.33).
19. Transferee cannot interfere, demand accounts or inspect books while the firm continues (S.29).
20. Continuing guarantee is revoked only for FUTURE transactions on a change in the firm (S.38).
21. Registration is voluntary; non-registration brings disabilities, not penalties (S.69).
22. An unregistered firm's suit cannot be saved by registering during the suit — file afresh.
23. Non-registration does not bar a suit for dissolution, accounts of a dissolved firm, or claims up to ₹100 (S.69(3),(4)).
24. S.41 (compulsory dissolution) cannot be excluded by contract; S.42 contingencies can.
25. S.48 order — Losses: Profits → Capital → Partners; Assets: Outsiders → Partners' loans → Capital → Surplus.